Hammond Power: qualified output and retained profit

Hammond Power can earn more when it delivers additional qualified transformers through a factory network whose skilled staff and equipment are already paid for. Urgent new custom orders can support better terms. AEG adds services, an installed base and power-conversion products, provided growth covers its real production labor, selling costs, administration and acquisition amortization.

The current model produces about CAD 338 per economic share for the selected Q4 2027 valuation quarter, using about CAD 224 million of operating profit over Q4 2027 through Q3 2028. This is a conditional operating ceiling. Accepted output, customer pricing and financing access determine whether the operating path can be delivered.

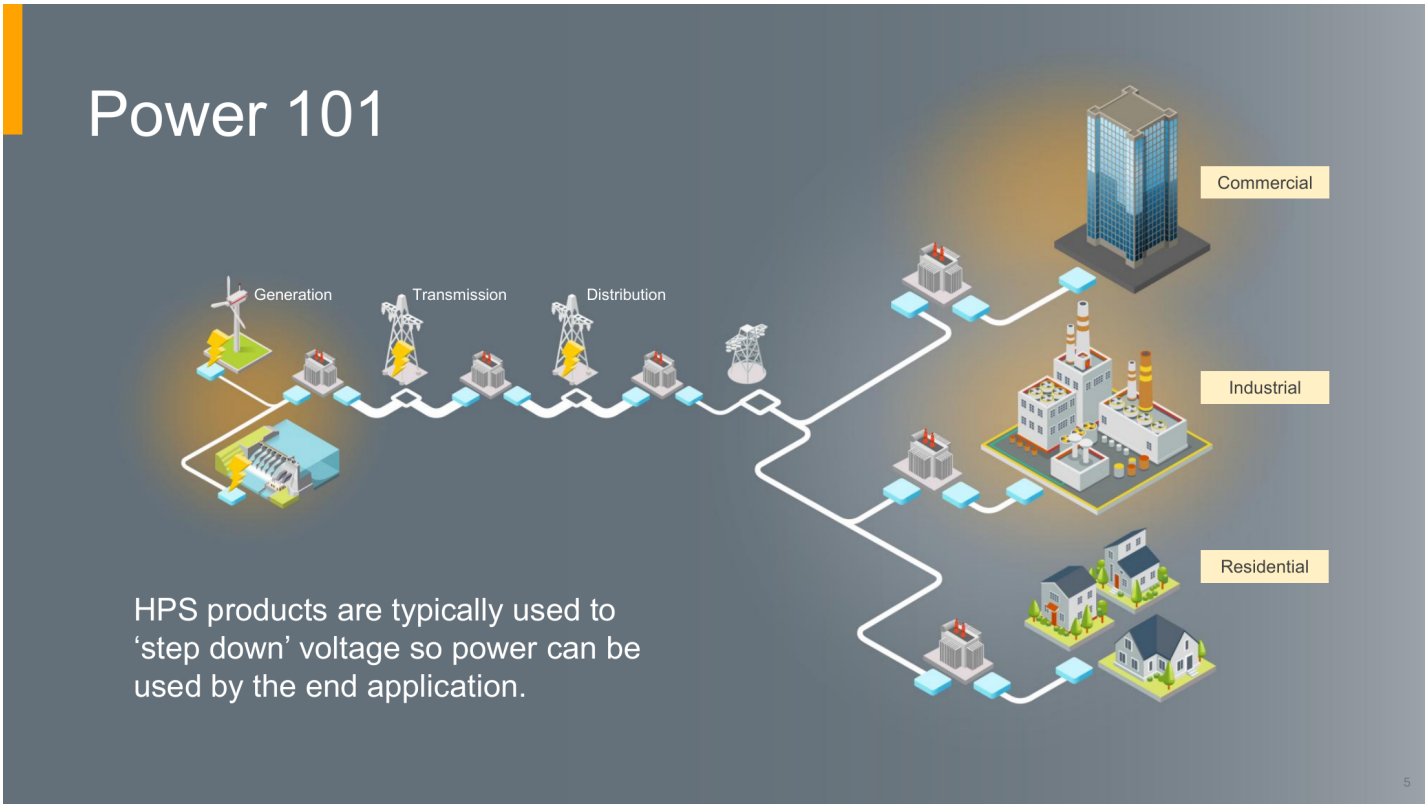
Research snapshot	Current assessment
Company / listing	Hammond Power Solutions / TSX HPS.A
Research date	21 October 2026
Currency / earnings basis	CAD / operating profit after operating costs
Latest reported quarter	Q2 ended 27 June 2026; legacy HPS only
Next earnings event	29 October 2026; first full acquired AEG quarter expected
Selected window	Q4 2027 through Q3 2028
Valuation convention	18x four-quarter OP / 11,904,924 both-class economic shares
Analytical score / Excel Base	68 / 100 analytical; protected Excel Base 73
Confidence	Reported financial totals HIGH; forward output, product allocations, costs and cash assumptions LOW

The model retains a funding constraint: illustrative cash reaches about negative CAD 17 million before debt and lease principal. Additional liquidity, working-capital improvement or changes to capital spending may be required. The report does not establish that the operating ceiling is financed.

All financial tables use CAD million unless stated otherwise. Reader displays are rounded to whole numbers; exact inputs, shares and calculations remain in the linked model. Independently rounded rows can differ from displayed totals.

The customer pays for reliable power distribution

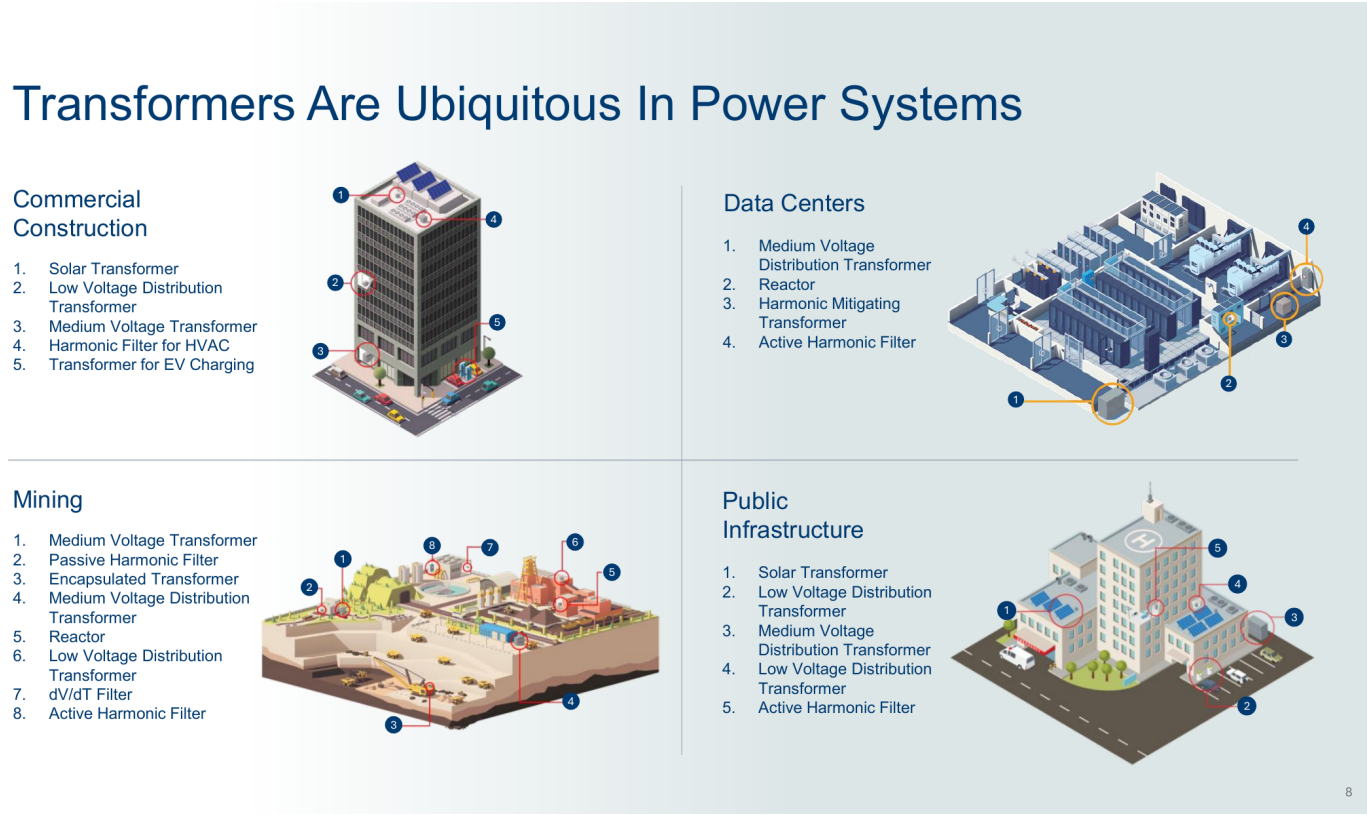
Transformers change voltage so electricity can be used safely by equipment and facilities. Dry-type designs serve commercial buildings, factories, infrastructure and data centres. Reactors, filters and power-quality systems address harmonics and difficult electrical loads. Engineering, approvals, predictable delivery and reliable performance can matter more to a customer than the purchase price of a standard component.



August 2026 investor presentation. The diagram places Hammond products in the electrical distribution chain. It explains the product wallet; it does not allocate all electricity investment to Hammond. Source: original issuer source, PDF page 5. Original labels and image credits are preserved.

Product pool	Paid customer value	Profit constraint
Custom transformers	Engineered voltage, configuration and performance for a specific project.	Skilled production, approved designs, materials, testing and delivery commitments.
Standard / power quality	Available configurations, protection and electrical performance across broad applications.	Competition, channel economics, inventory and commodity exposure.
AEG products	UPS, rectifiers, chargers and AC/DC power conversion for critical loads.	Qualification, production cost, research and project execution.
AEG services	Installation, maintenance, spares, replacement and retrofit support.	Field labor, coverage, customer access and service delivery costs.

Applications and the route from capacity to sales



August 2026 issuer application diagram. Data centres, mining, infrastructure and construction require different combinations of transformers and power-quality products. Source: original issuer source, PDF page 8. Original labels and image credits are preserved.

Customer designs and local codes define the equipment that can be installed. Large projects require engineering, testing, procurement and scheduled shipments. A nominal dollar capacity estimate therefore needs a bridge through mix, qualified labor, usable output and customer acceptance before it becomes recognized revenue.

The May management call described flexible equipment and skills across large custom products for mining, oil and gas and data centres. Conversion between smaller standard products and large custom work is less flexible. The July call said quoted projects for delivery into 2027 still largely used traditional electrical architectures. May management call; July management call.

Accepted shipments recognized as revenue can precede cash collection. The operating forecast models recognized sales; the cash bridge separately allows for working capital.

Manufacturing scale and customer reach



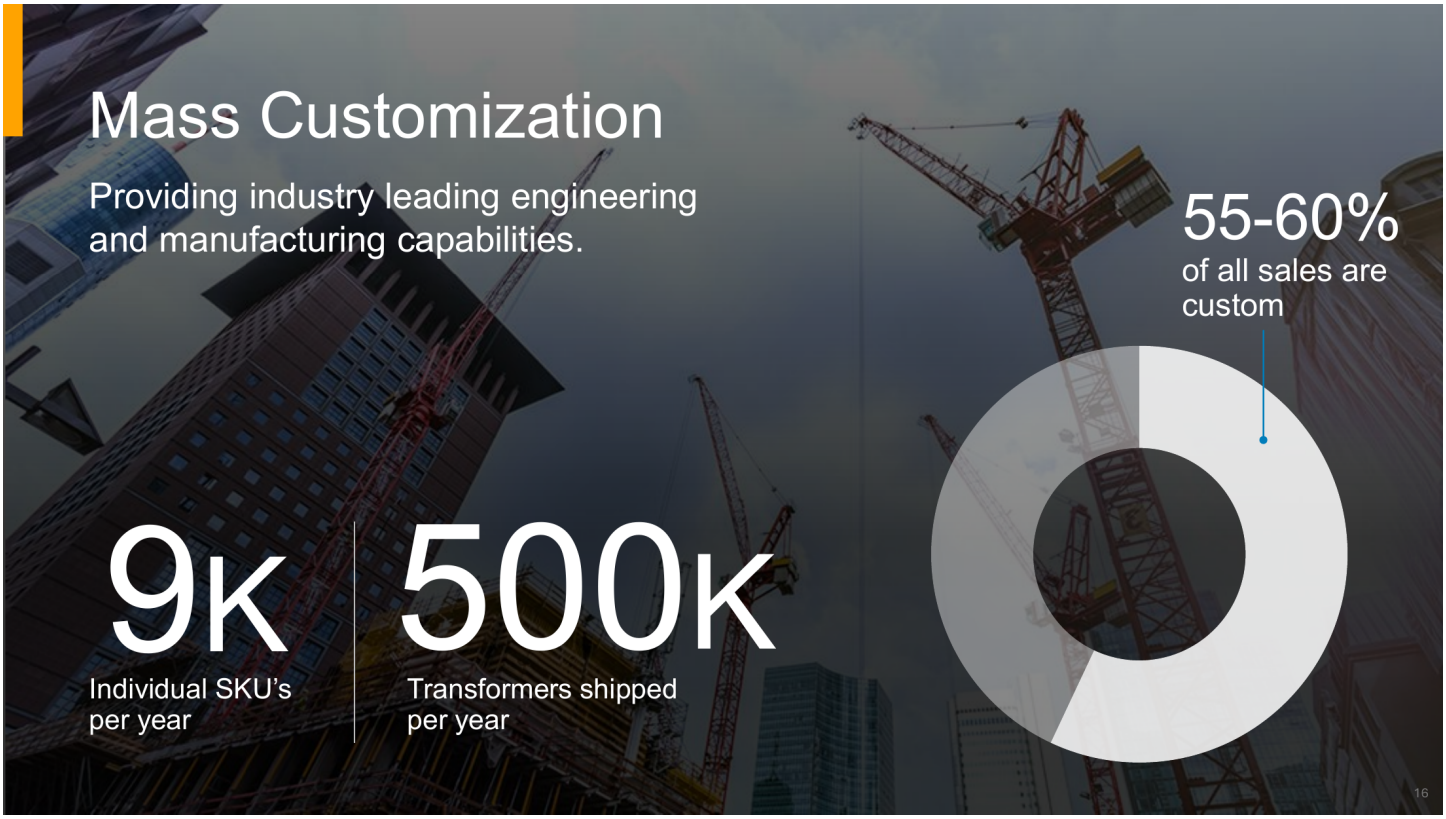
August 2026 investor presentation: issuer footprint, workforce and distributor reach at the presentation scope. These are company context rather than a separately audited post-acquisition headcount forecast. Source: original issuer source, PDF page 4. Original labels and image credits are preserved.

A broad factory network allows production allocation, sourcing and engineering expertise to be shared. That flexibility helps when project demand is uneven across geography or end markets. It also brings operating complexity, working capital and the need to retain trained people before every unit of revenue is secured.



August 2026 issuer channel mix: distribution, OEM and private-label routes. The mix is historical presentation context and does not disclose current end-customer concentration or the latest data-centre share. Source: original issuer source, PDF page 14. Original labels and image credits are preserved.

Customization, qualification and competitive alternatives



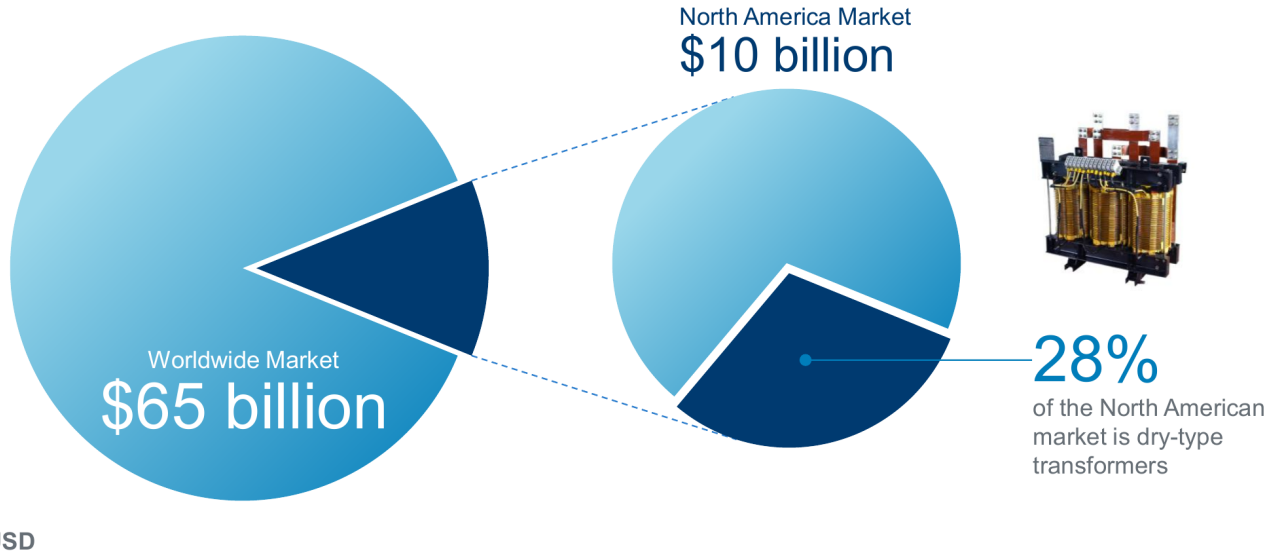
August 2026 manufacturing-scale exhibit. Its historical 55-60% custom-sales figure is superseded by the latest actual quarter, when custom product shipments were just under 70%. Source: original issuer source, PDF page 16. Original labels and image credits are preserved.

Customization can strengthen customer relationships when the design, service history and delivery schedule are important. The same work uses engineering and skilled factory capacity. Additional sales carry material, labor, testing, warranty and selling costs; a constrained tool or production line does not make the whole revenue pool high margin.

Competitive dimension	Potential advantage	Counter-evidence / test
Engineering and approvals	A proven product that fits the customer system lowers commissioning risk.	Large suppliers and qualified specialists can compete or replace designs.
Scale and purchasing	A larger dry-type network can spread expertise and source inputs.	Commodity and tariff costs can rise faster than contract prices.
Availability / responsiveness	Earlier reliable delivery can be valuable on a delayed project.	Framework agreements and less urgent orders face stronger price competition.
Channels	Distributor, OEM and private-label access broadens the market.	Intermediary concentration, bargaining power and stocked-product returns affect capture.

Market scope and competition

Growth Potential

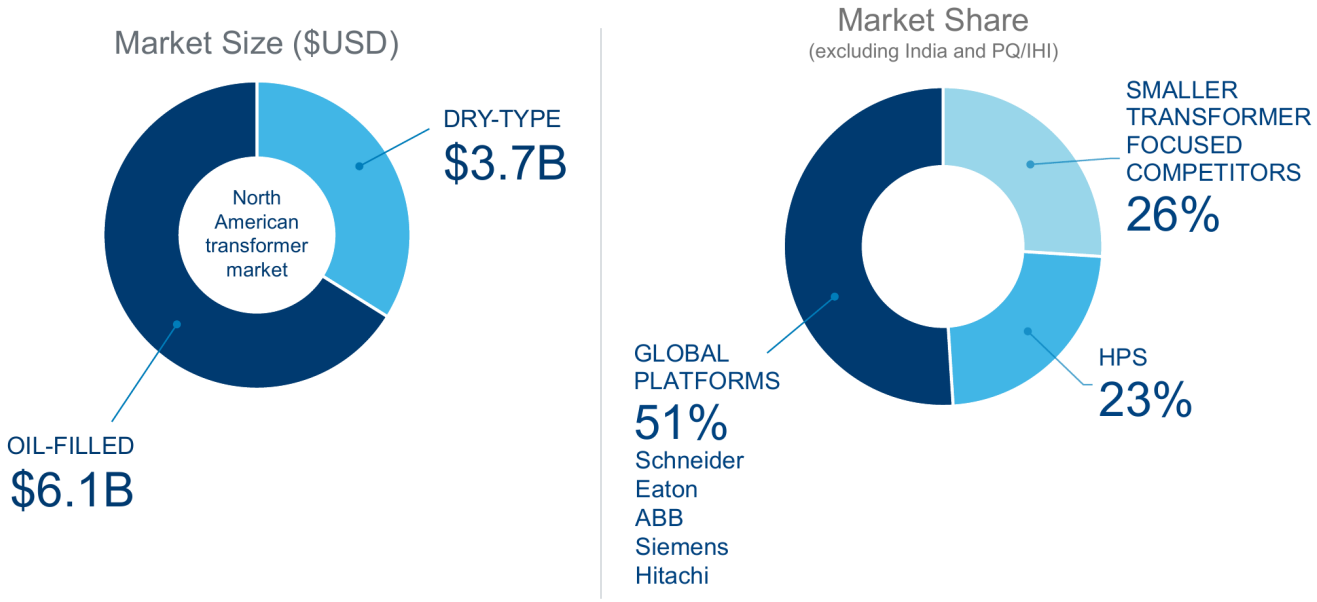


10

August 2026 issuer market estimate: worldwide USD 65 billion, North America USD 10 billion, with 28% dry-type. The arithmetic implies about USD 2,800 million dry-type. The underlying estimate date and methodology are undisclosed. Source: original issuer source, PDF page 10. Original labels and image credits are preserved.

The relevant addressable wallet is the equipment Hammond can qualify, manufacture and sell. The broad market also includes product classes outside its core offering. Revenue in CAD across a global group cannot be divided by a USD North American estimate to establish current share.

Market Size + Share



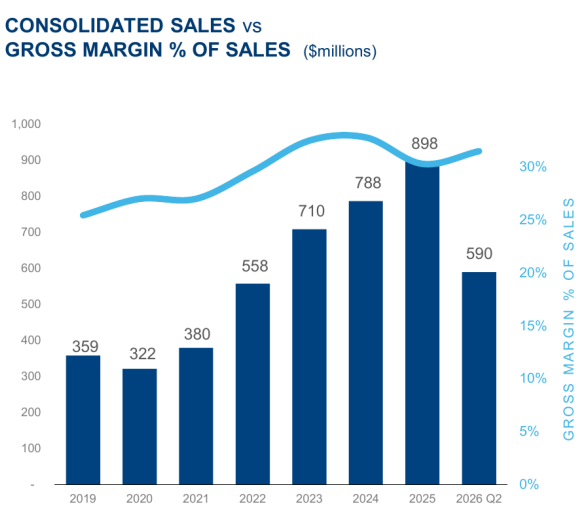
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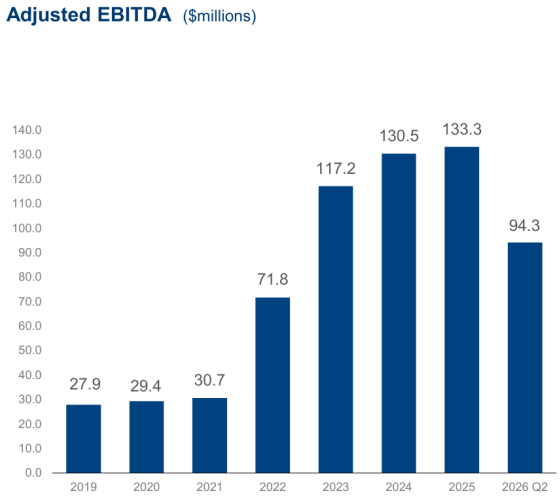
August 2026 issuer competitive map. This page uses a USD 3,700 million dry-type market and a share scope excluding India and power-quality / induction-heating activities. Its estimate boundary differs from the preceding page and is not reconciled by the issuer. Source: original issuer source, PDF page 19. Original labels and image credits are preserved.

The original map names Schneider, Eaton, ABB, Siemens and Hitachi among global platforms, alongside smaller transformer-focused competitors. It shows HPS at 23% within its stated scope. These are undated issuer estimates, not newly verified current market shares. The two market pages remain source context; they are not averaged into a revenue forecast.

Reported growth and the distinction between profit measures

Track Record of Profitable Growth





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August 2026 issuer history. The 2026 Q2 sales and adjusted-EBITDA bars are first-half totals, not full-year results or the latest quarter alone. Adjusted EBITDA excludes costs that remain in operating-profit analysis. Source: original issuer source, PDF page 21. Original labels and image credits are preserved.

Reported demand and higher factory output are strong. Profit measures answer different questions. Hammond reported about CAD 53 million adjusted EBITDA in Q2, while operating profit was about CAD 23 million. Cash-settled awards, financing, currency effects and acquisition items explain why adjusted performance cannot replace the operating statement in this valuation convention.

Latest actual quarter: legacy HPS only

Q2 ended 27 June 2026	CAD million	Source / scope
Sales	325	Reported legacy HPS
Cost of sales	223	Includes factory costs and ordinary depreciation
Gross profit	102	About 32% margin
Selling / distribution	36	Operating cost
General / administration	19	Before separately presented cash awards
Cash-settled awards	24	Share-price-sensitive operating cost
Total operating expense	79	Sum of the three operating-cost lines
Operating profit	23	Gross profit less operating expense
Acquisition costs below OP	5	AEG transaction costs; distinct from acquired operations
Adjusted EBITDA	53	Different issuer non-GAAP measure

AEG closed on 29 June, after the 27 June quarter-end. The quarter contains transaction costs but no AEG revenue, operating costs or acquisition debt. Q3 2026 in the forward tables is an unreported model estimate, not an actual or a company preliminary result. Q2 report.

Condensed Consolidated Statements of Operations

(unaudited) (in thousands of dollars except for per share amounts)

	Three Months Ending		Six Months Ending	
	June 27, 2026	June 28, 2025	**June 27, 2026**	June 28, 2025
Sales (note 12)	$ 324,802	$ 224,419	$ 589,642	$ 425,822
Cost of sales	222,540	155,607	407,589	293,498
Gross margin	102,262	68,812	182,053	132,324
Selling and distribution	36,289	24,665	63,182	46,985
General and administrative	19,011	15,361	36,900	29,962
Share-based compensation (note 10)	23,972	9,104	29,736	(1,752)
	79,272	49,130	129,818	75,195
Earnings from operations	22,990	19,682	52,235	57,129
Finance and other costs				
Interest expense	1,543	768	2,581	1,199
Foreign exchange loss	1,475	572	2,811	1,647
Acquisition costs (note 15)	4,992	–	4,992	–
Other	33	33	66	66
Net finance and other costs	8,043	1,373	10,450	2,912
Earnings before income taxes	14,947	18,309	41,785	54,217
Income tax expense	5,553	4,933	12,826	14,619
Net earnings	$ 9,394	$ 13,376	$ 28,959	$ 39,598
Earnings per share				
Basic earnings per share	$ 0.79	$ 1.12	$ 2.43	$ 3.33
Diluted earnings per share	$ 0.79	$ 1.12	$ 2.43	$ 3.33

See accompanying notes to condensed consolidated interim financial statements.

Q2 / first-half operating statement, CAD thousands. The issuer presents cash awards within operating costs and acquisition costs below operating profit. Source: original issuer source, PDF page 27. Original labels and image credits are preserved.

Mix, geography and backlog conversion

Current evidence	Observation	Economic implication
Custom mix	Just under 70% of product sales in Q2.	Supports mix and factory utilization; future product margins remain estimates.
U.S. / Mexico	CAD 273 million; up 73% year over year; about 84% of Q2 sales.	Major source of data-centre and industrial demand.
Canada	CAD 45 million; down 24%.	Project timing, softer activity and competitive prices remain headwinds.
India	CAD 7 million; down 10%.	Smaller, project-timing-sensitive contribution.
Backlog	Up 97% year over year; down 7% from Q1.	Shipments exceeded bookings as output improved; demand visibility is conditional.
Typical tenor	6-8 weeks standard; about 6 months custom; some projects over a year.	Price and input-cost timing differ across cohorts.
Cancellation	Many orders can cancel before procurement or production begins.	Backlog does not guarantee revenue or margin.

The August presentation uses historical geographical and channel pies. The latest accounts control the current quarter: custom mix is higher and the U.S. / Mexico share is higher than those presentation illustrations. Strong quotation activity supports the demand case, but customer timing, architecture and financing can still change deliveries. Q2 MD&A, pages 6-8.

HPS.A / HAMMOND POWER / 21 OCTOBER 2026

Working capital consumes cash before growth pays

First half ended 27 June 2026	CAD million	Meaning
Sales	590	Reported legacy revenue
Operating profit	52	After operating costs
Working-capital cash use	68	Receivables and inventory grew
Operating cash after taxes	5	Much lower than operating profit
Cash PPE spending	15	Actual first-half investment
June legacy cash	34	Before acquisition financing
June legacy bank lines	70	Separate from subsequent new facilities

Condensed Consolidated Statements of Cash Flows

(unaudited) (in thousands of dollars)

	Six Months Ending	
	June 27, 2026	June 28, 2025
Cash flows from operating activities		
Net earnings	$ 28,959	$ 39,598
Adjustments for:		
Amortization of property, plant and equipment	11,634	8,319
Amortization of intangible assets	749	682
Provisions	824	508
Interest expense	2,581	1,199
Income tax expense	12,826	14,619
Share-based compensation	29,736	(1,752)
Change in unrealized (gain) loss on derivatives included within other assets	(427)	1,272
	86,882	64,445
Change in non-cash working capital (note 14)	(68,232)	(53,359)
Cash generated from operating activities	18,650	11,086
Income tax paid	(13,697)	(14,052)
Net cash generated by (used in) operating activities	4,953	(2,966)
Cash flows from investing activities		
Acquisition of intangible assets	(36)	–
Acquisition of property, plant and equipment (note 6)	(14,895)	(19,682)
Cash used in investing activities	(14,931)	(19,682)
Cash flows from financing activities		
Net advances of bank operating lines of credit	14,176	28,293
Payment of lease liabilities and interest (note 9)	(3,033)	(3,335)
Cash dividends paid (note 10)	(6,548)	(6,547)
Interest paid	(2,581)	(634)
Cash generated by financing activities	2,014	17,777
Foreign exchange on cash held in a foreign currency	685	(1,357)
Decrease in cash	(7,279)	(6,228)
Cash and cash equivalents at beginning of period	40,910	34,085
Cash and cash equivalents at end of period	$ 33,631	$ 27,857

See accompanying notes to condensed consolidated interim financial statements.

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Actual first-half cash-flow statement, CAD thousands. Awards are added back as noncash expense before working-capital movements; settlement and liability timing still matter. Source: original issuer source, PDF page 31. Original labels and image credits are preserved.

Growth can require paying suppliers and factory employees before collecting customer cash. The June legacy balances and the acquisition pro forma are different scopes. Neither establishes cash available in October. The forward cash section retains working-capital and financing uncertainty.

What the newest two calls establish

Management event	Substantive evidence reviewed	Completeness
6 May: Q1 results	Prepared remarks, all visible analyst exchanges, management closing and disconnect at 22:43.	Full visible public reproduction; official audio not independently heard.
31 July: Q2 results	Prepared remarks, all visible analyst exchanges, management closing and disconnect at 32:53.	Full visible public reproduction; same audio limitation.
Primary accounts	Financial totals, operating statement, cash, award notes and acquisition timing.	Control exact accounting values over transcription errors.

May described an 18-24 month new-factory lead time and existing-footprint improvements. July said Monterrey 4 was essentially fully ramped, Monterrey 3 was improving, overtime supported delivery schedules and incremental equipment could add capacity. Management discussed stronger-than-ordinary price increases, but said price versus cost had stabilized. May call; July call.

The July reproduction states an incorrect prior-year gross margin. The primary report gives about 31%, versus about 32% in Q2 2026. Speaker-name and other automated transcription errors are retained as source limitations. A working webcast URL or excerpt is not verified full audio.

Existing-site revenue: throughput and price form separate bridges

Calendar year	Physical throughput index	Ordinary price / mix index	Custom share
2026	100	100	70%
2027	103	102	70%
2028	106	104	70%
2029	108	106	70%
2030	110	108	70%

The 2026 reference is CAD 1,300 million of annualized Q2 sales scale. Index 100 is the starting point. The modest throughput increases reflect Monterrey 3, equipment and process improvements. The ordinary price / mix path is separate from physical input requirements. These are LOW forward assumptions, not a hard nameplate or issuer guidance.

Cost calibration	Current model treatment	Confidence
Custom variable factory inputs	55% of physical reference revenue before future input inflation.	LOW product allocation

Cost calibration	Current model treatment	Confidence
Standard / power-quality inputs	66% of physical reference revenue.	LOW product allocation
Q2 paid fixed factory cost	About CAD 33 million per quarter calibrates reported total cost of sales.	Group actual HIGH; split LOW
Input inflation	CAD 25 per CAD 1,000 of the prior input cost each year.	LOW
Fixed factory inflation	3% annually; paid when volume disappoints.	LOW
Legacy selling	Variable selling plus paid fixed distribution infrastructure.	Actual-calibrated split LOW
Administration	Q2 annualized base grows 4% annually.	Forward LOW

Factory labor and depreciation remain in paid fixed costs. Lower volume therefore reduces gross profit disproportionately. Selling costs are shown separately from factory gross profit. The quarterly seasonality weights are 22%, 25%, 26% and 27%; future shipment mix and acceptance can differ.

Fort Worth: the dated first manufacturing phase

Hammond Power Solutions Increases North American Capacity

New facility expected to initially expand capacity by approximately CAD $250 million annually once fully operational

GUELPH, Ontario, September 22, 2026 - Hammond Power Solutions Inc. (“HPS” or “Company”; TSX: HPS.A), a leading provider of magnetic and power electronic solutions, announced that it has signed a long-term lease for a new manufacturing facility in Fort Worth, Texas. The facility will expand HPS’s ability to serve U.S.-based customers requiring large standard and custom-engineered transformers. The Fort Worth facility is strategically located to improve proximity to key customers, shorten delivery distances for certain products, and enhance HPS's ability to serve core end markets.

“HPS has built a strong manufacturing platform through its operations in Canada and Mexico, and those facilities will continue to be an important part of how we serve the North American market. This new investment in a U.S. facility is about being closer to our customers and better positioned to support the long-term demand we are seeing for our products,” said Adrian Thomas, Chief Executive Officer of HPS. “Demand for transformers continues to increase, particularly from large projects tied to data centres, electrification and power infrastructure. The Fort Worth facility gives us additional capacity in the U.S. to improve responsiveness, support shorter delivery distances for certain customers, and help us continue to provide the reliability and service our customers expect from HPS.”

Production activities at the facility are expected to commence in stages beginning in Q4 2027, with full production anticipated in Q1 2028. Once fully operational, the facility is expected to initially add approximately CAD $250M of manufacturing capacity, based on anticipated demand and normal course operating assumptions. HPS expects to invest approximately CAD $50 million to equip and commission the initial production phase, which it anticipates funding through its existing cash and credit facilities.

The facility was selected, in part, because of its potential to support additional capacity over time. Subject to market demand, future capital investment and other relevant factors, the site could support total annual manufacturing capacity of approximately CAD $400 million.

"Over the past several years, we have made significant investments to enhance efficiency, throughput and capacity across our manufacturing operations in Canada and Mexico,” said John Bailey, Chief Operations Officer of HPS. “The Fort Worth facility provides an opportunity to apply the operational disciplines, manufacturing processes and lessons learned from those investments in a purpose-built environment designed to support future growth. The facility will enhance our manufacturing flexibility, increase our ability to scale efficiently and reinforce the quality, consistency and reliability that define HPS."

Caution Regarding Forward-Looking Information

This press release contains forward-looking statements that involve a number of risks and uncertainties, including statements that relate to among other things, HPS’s strategies, intentions, plans, beliefs, expectations and estimates, in connection with general economic and business outlook, prospects and trends of the industry, expected demand for products and services, product development and the Company’s competitive position, including statements regarding the expected outcome of the proposed capacity expansion and related costs of such capacity and its effects on HPS’ operational capabilities, market reach and growth profile, and the drivers thereof, as well as the expected sources of funding for such activities. Forward-looking statements can generally be identified, but not limited to, the use of words such as “may”, “will”, “could”, “should”, “would”, “likely”, “expect”, “intend”, “estimate”, “anticipate”, “believe”, “plan”, “objective” and “continue” and words and expressions of similar import. Although the Company believes that the expectations reflected in such forward-looking statements are reasonable, such statements involve risks and uncertainties, and undue reliance should not be placed on such statements. There can be no assurance that the

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22 September 2026 issuer signed-lease announcement. Initial CAD 250 million annual manufacturing capacity and CAD 50 million equipment / commissioning investment are forward estimates; the later CAD 400 million total site potential needs further conditions. Source: original issuer source, PDF page 1. Original labels and image credits are preserved.

The initial phase starts production in stages in Q4 2027, with full production anticipated in Q1 2028. The accepted-revenue proxy uses 25% of a full quarter in Q4 2027, 85% in Q1 2028 and full quarterly revenue from Q2 2028 in timely outcomes. The distinction allows customer qualification and shipment acceptance to lag physical production.

The company anticipates funding from cash and credit facilities. This states a plan, not verified undrawn liquidity or covenant capacity. The model gives both the project and the financing risk explicit treatment. Full announcement.

Four coherent outcomes for the new factory

Factory outcome	Probability	Accepted revenue / timing	Paid cost and capital
Timely initial phase and later phase	20%	Initial acceptance ramp from Q4 2027; extra phase from Q3 2029.	Initial capital, full readiness and later capital / staff paid.
Timely initial phase only	55%	Same initial ramp; no extra phase.	Initial capital and full initial factory costs paid.
Four-quarter acceptance delay	20%	Same initial revenue ramp one year later.	Commissioned factory costs remain paid before accepted sales.
Cancel initial project	5%	No operating revenue.	CAD 5 million assumed abandonment cost; no assumed unissued equity.

Timely first-phase probability totals 75%. The later phase has a 20% unconditional probability and exists only within the first outcome. These are analytical judgments: the signed lease, specific initial budget and dated plan support construction, while customer acceptance, staffing, demand and funding can disappoint. They are not issuer-assigned probabilities.

The probabilities weight revenue and the corresponding costs together. They do not haircut the entire valuation. The later CAD 150 million incremental capacity is part of CAD 400 million total site potential. Its CAD 30 million equipment proxy scales the initial cost / capacity relationship; the timing and budget remain LOW assumptions.

The factory pays for readiness before accepted output

Initial fully commissioned annual cost	Whole CAD million	Basis
Equipment depreciation	6	CAD 40 million equipment over 7 years
Leasehold depreciation	2	CAD 10 million fitout over 5 years
Fixed staff	8	LOW staffing proxy
Utilities / maintenance	4	LOW fixed-cost proxy
Right-of-use depreciation	2	LOW leased-site occupancy proxy
Property / other	1	LOW proxy
Total paid fixed factory cost	23	Exact model retains unrounded charges
Lease-interest cash proxy	1	Below operating profit; separate cash consideration

Direct materials and volume-flexing labor use 55% custom / 66% standard reference rates, with the new factory assumed 90% custom. The factory also pays variable selling cost and 2% support on revenue. Inflation acts on inputs separately from selling price. Early staff and occupancy costs enter operating expense; commissioned fixed manufacturing costs remain in gross profit even when customer acceptance is delayed.

The early Q4 2026 readiness proxy is CAD 500,000. Later-phase readiness costs are CAD 450,000 and CAD 900,000 in the conditional Q1 and Q2 2029 build path. Those costs precede additional accepted revenue. Lease terms, actual hiring and equipment mix are unknown, so all these site-cost allocations remain LOW.

of default as at the date of initial recognition based on all information available, and reasonable and supportive forward-looking information. For trade receivables only, the Group applies the simplified approach as permitted by IFRS 9 which requires expected lifetime losses to be recognized from initial recognition of receivables.

c) Cash and cash equivalents

Cash and cash equivalents include cash and short-term deposits with maturities of three months or less.

d) Property, plant and equipment

Property, plant and equipment are shown in the statement of financial position at their historical cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset or bringing the asset to the location and condition necessary for its intended use. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and borrowing costs on qualifying assets. Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Depreciation is provided on components that have homogeneous useful lives by using the straight-line method so as to depreciate the initial cost down to the residual value over the estimated useful lives.

The estimated useful lives for the current and comparative periods are as follows:

· Buildings	14-30 years
· Leaseholds and improvements	lesser of 5 years and lease term
· Machinery and equipment	4-10 years
· Office equipment	4-10 years
· Land is not depreciated	

Depreciation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if required.

Assets included in construction-in-progress and deposits are not depreciated until the assets are available for use. Idle assets that are available for use are depreciated.

e) Intangible assets other than goodwill

Intangible assets that are acquired either separately or in a business combination are recognized when they are identifiable and can be reliably measured. Intangible assets are considered to be identifiable if they arise from contractual or other rights, or if they are separable (i.e. they can be disposed of either individually or together with other assets). Intangible assets comprise finite life intangible assets.

Finite life intangible assets are those for which there is an expectation of obsolescence that limits their useful economic life or where the useful life is limited by contractual or other terms. They are amortized over the shorter of their contractual or useful economic lives.

2025 annual accounting policy. Equipment useful lives, available-for-use timing and depreciation of idle available assets govern the cost logic. The model uses explicit LOW project allocations within these policy ranges. Source: original issuer source, PDF page 55. Original labels and image credits are preserved.

Capital, capacity and demand are counted once

Factory item	Initial phase	Later conditional phase
Annual capacity at reference assumptions	CAD 250 million	Additional CAD 150 million
Equipment / commissioning spending	CAD 50 million issuer plan	CAD 30 million LOW proxy
Production / acceptance	Issuer production Q4 2027 / Q1 2028; separate accepted-revenue ramp.	LOW assumed ramp from Q3 2029; full from Q1 2030.
Funding status	Cash / credit planned; useful availability unverified.	Further capital and demand conditions remain.

The forecast builds existing sites and Fort Worth once. An expansion assumption does not create another demand pool, and a signed lease does not prove a paid customer award. No physical closure or relocation of an existing factory has been announced in the source.

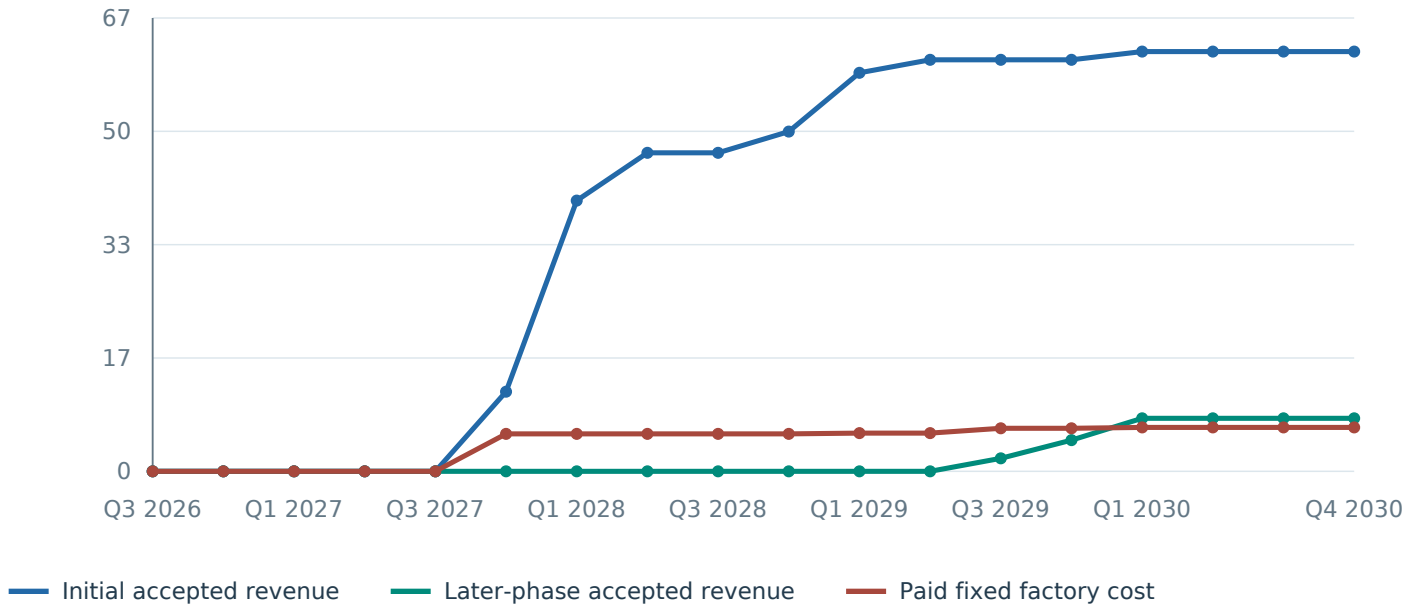
Calendar year	Initial revenue	Later revenue	Total revenue	Paid fixed factory	New-site OP
2027	12	0	12	6	-7
2028	184	0	184	22	41
2029	240	7	247	24	59
2030	247	31	278	26	67

The annual table is probability weighted. Start-up costs can precede operating contribution. The cancellation cost is a LOW tail assumption, not a contractual upper limit on exiting a signed lease.

Accepted factory revenue and paid costs

Fort Worth: accepted revenue and committed manufacturing cost

CAD million per quarter



Probability-weighted model. Revenue are customer-accepted output proxies; paid fixed costs continue through acceptance delay. Capacity figures in the source are annual, while this chart is quarterly.

Quarter	Initial revenue	Later revenue	Fixed cost	Pre-operation cost	Support
Q3 2026	0	0	0	0	0
Q4 2026	0	0	0	0	0
Q1 2027	0	0	0	1	0
Q2 2027	0	0	0	2	0
Q3 2027	0	0	0	2	0
Q4 2027	12	0	6	0	0
Q1 2028	40	0	6	0	1
Q2 2028	47	0	6	0	1
Q3 2028	47	0	6	0	1
Q4 2028	50	0	6	0	1
Q1 2029	59	0	6	0	1
Q2 2029	61	0	6	0	1

Quarter	Initial revenue	Later revenue	Fixed cost	Pre-operation cost	Support
Q3 2029	61	2	6	0	1
Q4 2029	61	5	6	0	1
Q1 2030	62	8	6	0	1
Q2 2030	62	8	6	0	1
Q3 2030	62	8	6	0	1
Q4 2030	62	8	6	0	1

Expected initial revenue in the selected four-quarter window are about CAD 145 million. The site contributes about CAD 27 million of incremental OP after its modeled production, fixed, support and selling costs. Those costs remain aligned with the physical outcome.

HPS.A / HAMMOND POWER / 21 OCTOBER 2026

A finite urgency premium on new custom orders

Pricing bridge	Current assumption	Scope
Probability	60%	Analytical assessment of monetizing scarce lead time
Eligible cohort	25% of custom revenue	New / repriceable orders above ordinary pricing
Conditional extra price	4%	Additional to the ordinary price / mix reference
Manufacturing / expedite support	10% of premium revenue	Incremental cost of earlier delivery / support
Selling	Ordinary variable selling rate	Additional commission / channel cost retained
Timing	Starts Q2 2027; half weight in 2029; zero in 2030	Finite benefit, not a permanent all-company margin uplift

Management described projects where delivery speed and capacity allow better commercial terms, alongside more competitive framework agreements. Existing fixed-price backlog and the known fall / spring price actions are excluded from the extra cohort. This avoids repeating realized prices already inside actual gross profit. July call, 18:34-20:30 and 23:43.

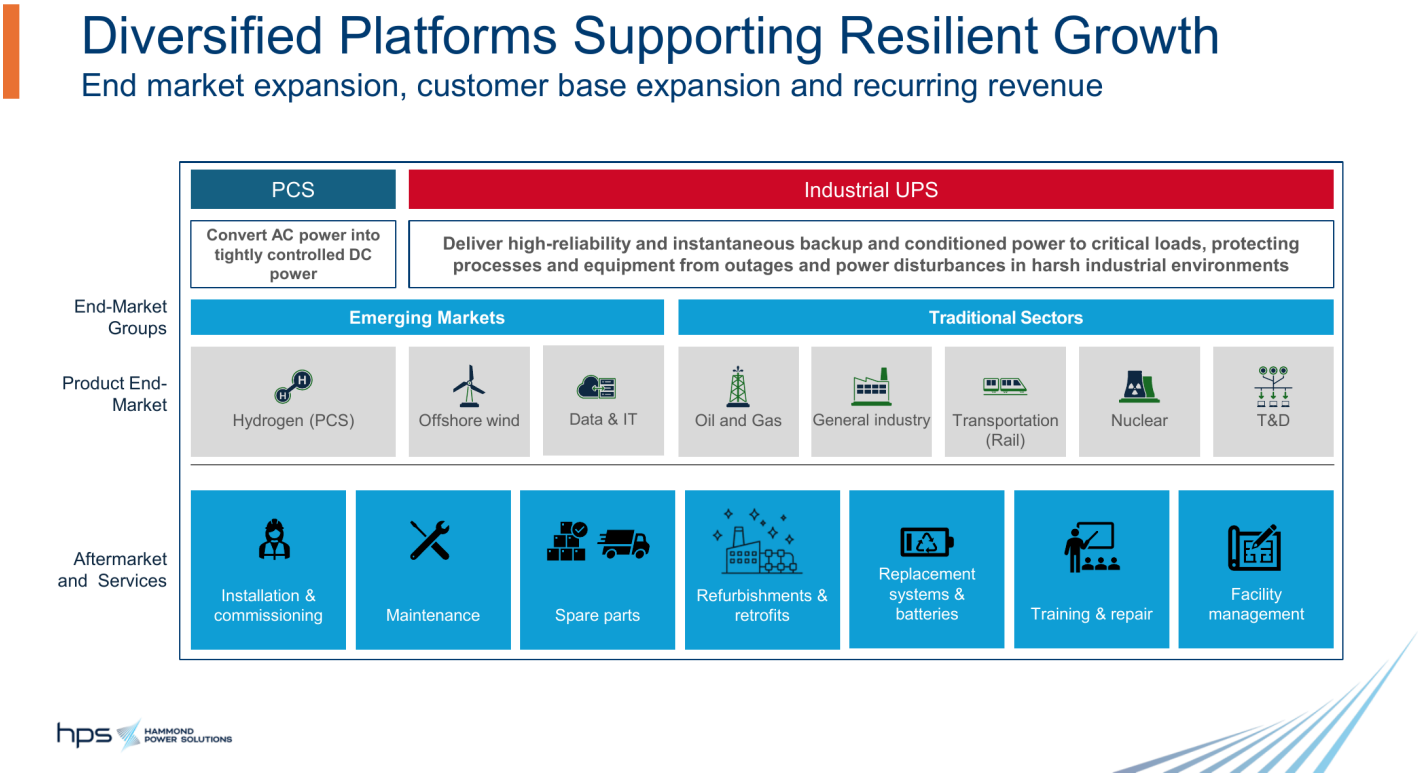
Selected Q4 2027 through Q3 2028 bridge	CAD million
Eligible custom revenue cohort	248
Probability-weighted premium revenue	6
Manufacturing / expedite support	1
Incremental selling	0

Selected Q4 2027 through Q3 2028 bridge	CAD million
Retained incremental operating profit	5

The margin benefit requires customers to value earlier reliable delivery after Hammond pays to provide it. Commodity costs, warranty and ordinary production remain in the reference. The premium is not applied to all AI spending or all data-centre revenue.

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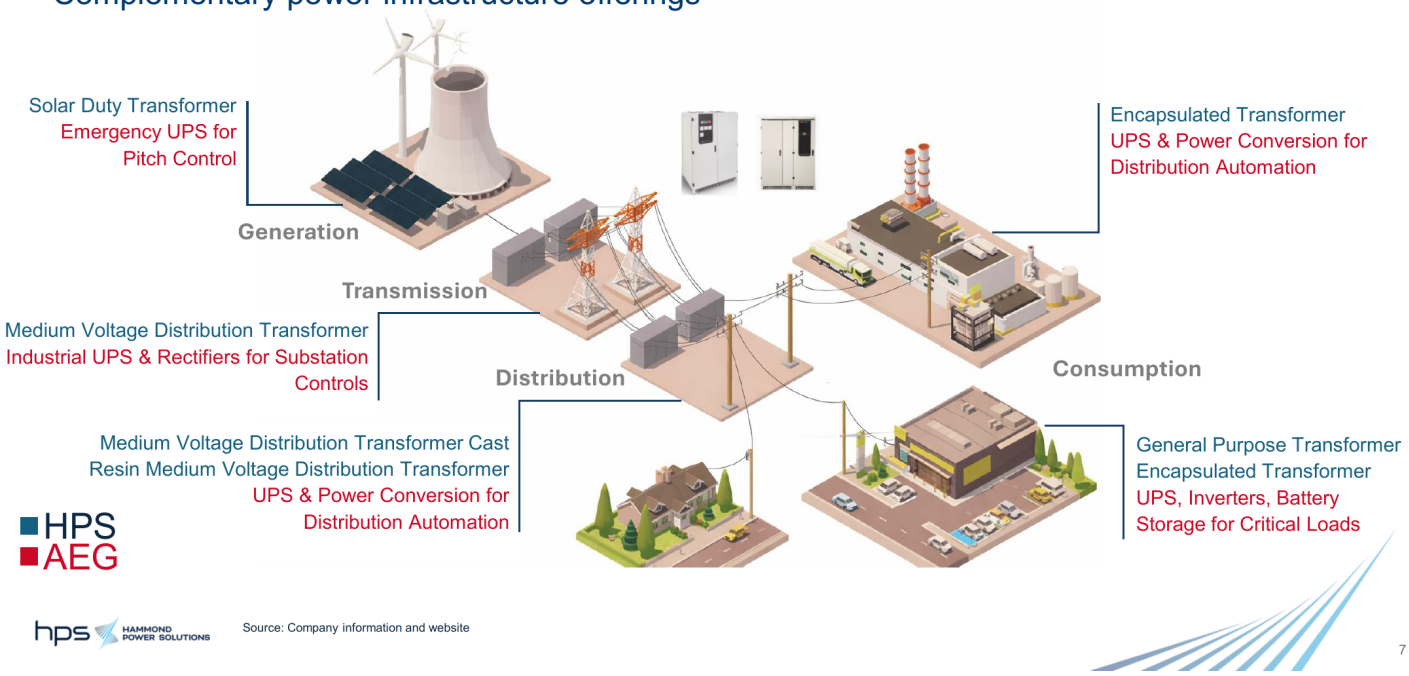
AEG broadens the electrical and service portfolio



February 2026 acquisition presentation: industrial UPS, power conversion and service applications. These capabilities explain the commercial opportunity; they do not establish a new design win or undisclosed order. Source: original issuer source, PDF page 5. Original labels and image credits are preserved.

Portfolio Expansion

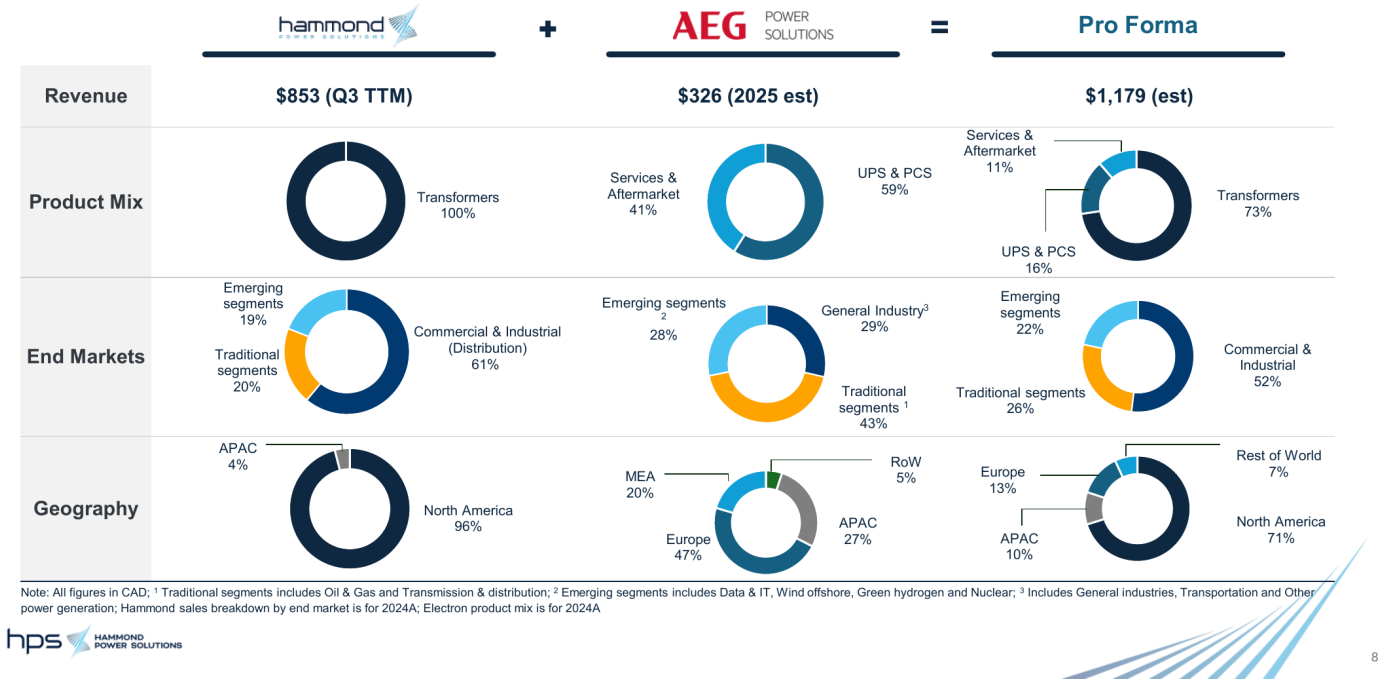
Complementary power infrastructure offerings



February 2026 portfolio illustration. Magnetics, conversion, critical power and services address distinct functions along the power chain. Source: original issuer source, PDF page 7. Original labels and image credits are preserved.

AEG adds a service organization and installed base across industrial and infrastructure applications. Cross-selling can increase customer value, but service coverage, product qualification, engineers and field technicians cost money. HPS announced the acquisition close on 29 June. Issuer closing release.

Service mix is supported; separate margins remain estimates



February 2026 proposed-combination exhibit. Revenue amounts were 2025 estimates and portions of the mix use 2024 actuals. Current acquired-business statements supersede those estimates for financial calibration. Source: original issuer source, PDF page 8. Original labels and image credits are preserved.

AEG service evidence	Rounded source amounts	Interpretation
2025 goods / services	EUR 122 million / EUR 79 million	About 39% service revenue
Q1 2026 goods / services	EUR 28 million / EUR 17 million	Service revenue disclosed, with rounding
Q2 2026 goods / services	EUR 26 million / EUR 20 million	About 40% service share across the half-year
Future service mix	42% in 2027 rising to 48% in 2030	LOW mix path within the same total revenue

Separate goods and service gross margins are not reported. The forward allocations calibrate to total acquired-business costs. More services can improve economics, but a service share alone cannot establish a particular service margin or turn all product revenue into recurring revenue. Acquisition report, pages 32, 86 and 97.

AEG 2025 historical economics

AEG 2025, HPS-conformed presentation	CAD million
Sales	317
Cost of sales	202
Gross profit	116
Research	3
Selling	55
Administration	39
Total operating costs	97
Operating profit before new PPA	19

This historical operating profit includes some share-purchase-agreement costs within other expenses. A deferred tax benefit also raised historical net income. Neither item establishes recurring operating earnings. The issuer acquisition report warns that the combined pro forma is illustrative and excludes prospective integration costs and synergies.

Pro Forma Statement of Operations
Year ended December 31, 2025 (in thousands of dollars except for per share amounts)
(unaudited)

	Hammond Power Solutions Inc.	AEG Power Solutions	Pro Forma Adjustments	notes	Hammond Power Solutions Inc. Pro Forma Consolidated
Sales	898,255	317,406	-		**1,215,661**
Cost of sales	625,936	201,893	10,135	4 c)	**837,964**
Gross margin	272,319	115,513	(10,135)		**377,697**
Research and development costs	-	3,406	-		**3,406**
Selling and distribution	100,537	54,618	7,219	4 c)	**162,374**
General and administrative	58,985	38,828	-		**97,813**
Share-based compensation	8,778	-	-		**8,778**
	168,300	96,852	7,219		**272,371**
Earnings from operations	104,019	18,661	(17,354)		**105,326**
Finance and other costs					
Interest expense	3,876	5,902	28,743	4 h)	**38,521**
Foreign exchange loss	3,109	501	6,217	4 i)	**9,827**
Acquisition costs	-	-	16,477	4 j)	**16,477**
Other	138	-	-		**138**
Net finance and other costs	7,123	6,403	51,437		**64,963**
Earnings before income taxes	96,896	12,258	(68,791)		**40,363**
Income tax expense (recovery):					
Current	24,755	2,139	(7,314)	4 k)	**19,580**
Deferred	(100)	(22,982)	(4,416)	4 k)	**(27,498)**
	24,655	(20,843)	(11,730)		**(7,918)**
Net earnings	72,241	33,101	(57,061)		**48,281**
Earnings per share					
Basic earnings per share	$ 6.07				**$ 4.06**
Diluted earnings per share	$ 6.07				**$ 4.06**

September 2026 Business Acquisition Report, illustrative 2025 combined statement in CAD thousands. AEG historical costs and the new purchase-accounting adjustment appear in separate columns. Source: original issuer source, PDF page 103. Original labels and image credits are preserved.

AEG first half: operating overhead absorbs gross profit

H1 2026, HPS-conformed AEG costs	CAD million	Status
Sales	145	Historical acquired-business revenue
Cost of sales	96	Includes direct production and historical factory costs
Gross profit	49	Before new purchase-accounting step-up
Research	2	Separate operating expense
Selling	30	Separate operating expense
Administration	17	Separate operating expense
Total operating expense	49	Before new purchase-accounting step-up
Operating profit	CAD 660,000	Transaction costs reclassified below OP; exact source amount

Pro Forma Statement of Operations
Six-months ended June 27, 2026 (in thousands of dollars except for per share amounts)
(unaudited)

	Hammond Power Solutions Inc.	AEG Power Solutions (note 7)	Pro Forma Adjustments	notes	Hammond Power Solutions Inc. Pro Forma Consolidated
Sales	589,642	144,858	-		**734,500**
Cost of sales	407,589	95,583	5,068	4 c)	**508,240**
Gross margin	182,053	49,275	(5,068)		**226,260**
Research and development costs	-	1,506	-		**1,506**
Selling and distribution	63,182	30,240	3,610	4c)	**97,032**
General and administrative	36,900	16,869	-		**53,769**
Share-based compensation	29,736	-	-		**29,736**
	129,818	48,615	3,610		**182,043**
Earnings from operations	52,235	660	(8,678)		**44,217**
Finance and other costs					
Interest expense	2,581	3,738	14,371	4 h)	**20,690**
Foreign exchange loss	2,811	971	-		**3,782**
Acquisition costs	4,992	8,178	(13,170)	4 j)	**-**
Other	66	-	-		**66**
Net finance and other costs	10,450	12,887	1,201		**24,538**
Earnings before income taxes	41,785	(12,227)	(9,879)		**19,679**
Income tax expense (recovery):					
Current	12,826	(1,976)	(7,075)	4 k)	**3,775**
Deferred	-	-	-		**-**
	12,826	(1,976)	(7,075)		**3,775**
Net earnings	28,959	(10,251)	(2,804)		**15,904**
Earnings per share					
Basic earnings per share	$ 2.43				**$ 1.34**
Diluted earnings per share	$ 2.43				**$ 1.34**

September 2026 illustrative H1 statement, CAD thousands. AEG operating profit is 660 thousand before the incremental purchase-accounting adjustment. It is not an actual consolidated owned-period result. Source: original issuer source, PDF page 104. Original labels and image credits are preserved.

The table retains the economically important small profit in whole currency units. The acquired-business operating cost base has to be carried into the forward model; a higher-margin product narrative cannot replace labor, selling, administration and research.

Raw AEG accounts and cost presentation

CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (IFRS)

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE THREE AND SIX MONTHS ENDED JUNE 30
UNAUDITED (in kEUR)

	Notes	Three Months Ending June 30, 2026	Three Months Ending June 30, 2025	Six Months Ending June 30, 2026	Six Months Ending June 30, 2025
Continuing operations					
Revenue	9	45,852	44,939	90,104	83,500
Cost of sales	10	(29,609)	(29,394)	(59,454)	(53,130)
Gross profit		16,243	15,545	30,650	30,370
Other (expenses)/ Income		(5,389)	(1,648)	(6,108)	(2,484)
Selling, General and Administrative expenses	11	(14,862)	(12,011)	(28,282)	(24,397)
Research and development expenses		(531)	(974)	(937)	(1,604)
Income before interest and tax (EBIT)*		(4,538)	913	(4,677)	1,885
Finance costs		(1,842)	(1,435)	(2,980)	(2,429)
Finance income		17	85	50	165
Net finance costs		(1,826)	(1,350)	(2,929)	(2,265)
(Loss)/ profit before tax from continuing operations		(6,364)	(436)	(7,606)	(379)
Income tax income/ (expense)		1,085	(330)	1,229	(376)
Net (loss)/ income		(5,279)	(766)	(6,378)	(755)
Attributable to:					
Equity holders of the parent		(5,279)	(766)	(6,378)	(755)
Net (loss)/ income		(5,279)	(766)	(6,378)	(755)
***The interest referred to in earnings before interest and tax (EBIT) comprises all financial items included within net finance income/costs.**					
Income for the period		(5,279)	(766)	(6,378)	(755)
Other comprehensive income					
Items that may be reclassified to profit or loss:					
Foreign currency translation differences for foreign operations		301	(722)	647	(928)
Other comprehensive income/ (loss) for the period		301	(722)	647	(928)
Total comprehensive income for the period		(4,978)	(1,488)	(5,730)	(1,683)
Total comprehensive income attributable to:					
Owners of the Company		(4,978)	(1,488)	(5,730)	(1,683)
Total comprehensive income for the period		(4,978)	(1,488)	(5,730)	(1,683)

The notes on pages 8 to 12 are an integral part of these condensed consolidated financial statements.

3

Raw AEG Q2 / H1 statement, EUR thousands. H1 operating loss includes transaction-related other expenses; the HPS-conformed CAD presentation moves acquisition costs below OP. Source: original issuer source, PDF page 90. Original labels and image credits are preserved.

Raw H1 AEG EBIT was about negative EUR 5 million. The conformed statement shows CAD 660,000 operating profit after moving about CAD 8 million acquisition costs below OP. Both scopes remain visible. The reclassification does not create cash or remove the underlying transaction outflow.

Notes to the condensed consolidated financial statements
for the three and six months ended June 30, 2026
(in kEUR)

8. Loans and Borrowings

	June 30, 2026	December 31, 2025
Non-current		
Unsecured bank loans	589	736
Total non-current	589	736
Current		
Unsecured bank loans	332	401
Related parties loans	15,564	-
Revolving Credit Facility (RCF)/Bank overdrafts*	17,430	27,302
Obligations under reverse factoring arrangements	6,584	4,673
Obligations under receivable factoring arrangements	76	254
Total current	39,987	32,630
Total loans and borrowings	**40,577**	**33,366**

*On June 29, 2026 €15.6m was received from Hammond Power Solutions B.V. to partly payoff Revolving Credit Facility (RCF)/Bank overdrafts.

9. Revenue

	Three Months Ending		Six Months Ending	
	June 30, 2026	June 30, 2025	June 30, 2026	June 30, 2025
Germany	13,968	14,237	30,484	25,721
Europe excl. Germany	17,041	18,861	33,131	34,882
Rest of the world, mainly Asia Pacific	14,844	11,841	26,489	22,896
	45,852	**44,939**	**90,104**	**83,500**

The Group derives revenue for the three months ended June 30, 2026 from the transfer of goods €26.1 million (2025: €26.9 million) and services €19.8 million (2025: €18.0 million) over time and at a point in time in the above-mentioned geographical regions. Over time revenue recognition is mainly from the services installation and commissioning. Where local law guarantees considerations for partially finished goods when terminated for convenience, all working contracts will generate over time revenues. For Germany we determined there is such a statement in the local law.

As at June 30, 2026 and June 30, 2025 there are no significant contract assets recognised. The Group's contract liabilities are €11.5 million (2025: 15.7 million).

The Group recognised €14.9 million revenue based on Percentage of Completion for the three months ended June 30, 2026.

10. Cost of sales

The cost of sales can be broken down into expenses by nature in the below stated categories and include costs directly attributable to the production. Material costs include purchases of raw materials and semi-finished goods which are assembled in one of the four factories of the Group.

	Three Months Ending		Six Months Ending	
	June 30, 2026	June 30, 2025	June 30, 2026	June 30, 2025
Material costs	(20,966)	(23,089)	(43,316)	(40,163)
Employee related expenses*	(7,682)	(6,106)	(14,427)	(12,305)
Net inventory (expense)/ income**	(304)	201	(722)	1
Bad debt allowance	(284)	(2)	(285)	(1)
Tangible depreciation costs***	(252)	(240)	(484)	(408)
Other****	(122)	(157)	(219)	(255)
	(29,609)	**(29,394)**	**(59,454)**	**(53,130)**

*Employee related expenses for the three months ended June 30, 2026 includes €5.2 million of wages and salaries (2025: €4.3 million). It also includes for the three months ended June 30, 2026 €1.1 million Compulsory social security contributions (2025: €1.1 million).
** Changes in this line refer to a changes in the provision for obsolete stock calculations and movements in materials in stock over the year.
*** Tangible depreciation costs include lease costs
**** Other costs include warranty reserve and other variable costs.

AEG Q2 / H1 revenue and production-cost notes, EUR thousands. Material and employee costs, historical depreciation and service revenue are disclosed; separate goods / service gross margins are not. Source: original issuer source, PDF page 97. Original labels and image credits are preserved.

Acquisition amortization belongs in the cost bridge

Notes to the Unaudited Pro Forma Consolidated Financial Statements

4. Pro Forma Adjustments in Connection with the Transaction

The following summarizes the pro forma adjustments in connection with the Transaction to give effect to the Transaction as if it had occurred on January 1, 2025 for purposes of the unaudited Pro Forma Statement of Operations and on June 27, 2026 for purposes of the unaudited Pro Forma Statement of Financial Position. The pro forma adjustments are based on preliminary estimates and assumptions that are subject to change.

a) Cash and cash equivalents

Reflects a net increase of $10.7 million to cash and cash equivalents related to the new financing net, of financing fees, of $333.8 million less the cost of the Transaction of $323.1 million as if the Transaction had occurred on June 27, 2026.

b) Property, plant and equipment

Reflects a net increase of $19.1 million to property, plant and equipment related to fair value step-up to acquired tangible fixed assets and right-of-use assets.

c) Intangible assets

Reflects a net increase of $177.2 million to intangible assets related to the fair value step-up to acquired intangible assets.

Sources and changes in intangible assets in Pro Forma statement of operations for year ended December 31, 2025	**Amount**
Cost of sales, including depreciation of the tangible fixed asset step-up and amortization of order backlog and technology-related intangibles	$ 10,135
Selling and distribution expense, primarily related to customer relationship amortization	7,219
Total incremental depreciation and amortization	$ 17,354

Sources and changes in intangible assets in Pro Forma statement of operations for six-months ended June 27, 2026	**Amount**
Cost of sales, including depreciation of the tangible fixed asset step-up and amortization of order backlog and technology-related intangibles	$ 5,068
Selling and distribution expense, primarily related to customer relationship amortization	3,610
Total incremental depreciation and amortization	$ 8,678

d) Goodwill

Reflects an increase of $99.7 million in goodwill recognized as part of the preliminary purchase price allocation. Goodwill is attributable to the expected benefits of the acquired business, including the expanded platform and future growth opportunities. The goodwill amount is preliminary and may change as the valuation of identifiable assets acquired and liabilities assumed is finalized.

e) Bank operating lines of credit and long-term debt

Reflects the pro forma debt structure used to finance the Transaction, including the new term facilities, revolving credit facility and swingline facility. These values are offset by $10.5 million of deferred financing costs capitalized in connection with the new debt facilities.

f) Deferred tax liability

As part of the preliminary purchase price allocation, fair value adjustments were recorded to acquired assets and liabilities. The resulting temporary differences between the fair values assigned for accounting purposes and the corresponding tax bases gave rise to a future income tax liability of $56 million.

September 2026 provisional purchase-accounting adjustment, CAD thousands. Annual incremental depreciation / amortization is split between cost of sales and selling / distribution. Source: original issuer source, PDF page 108. Original labels and image credits are preserved.

Incremental annual acquisition charge	Whole CAD million	Treatment
COGS step-up depreciation / amortization	10	Tangible step-up, backlog and technology-related assets
Selling amortization	7	Primarily customer relationships
Total incremental charge	17	Deducted once after the acquisition
Historical ordinary depreciation	Already inside historical costs	Retained in the calibrated factory / operating base

The allocation remains provisional and final useful lives and the future fade of backlog-related amortization are unknown. The model retains the exact current annual charge as a LOW forward convention. Annual pro forma presentation assumes a whole year of ownership; consolidation begins only after 29 June. Interest and financing-fee amortization sit below operating profit.

AEG production, support and productive labor

Calibrated cost element	Reference / rule	Confidence
Materials, inventory losses and bad debt	About CAD 492 per CAD 1,000 revenue in the H1 source calibration.	HIGH group source; LOW future allocation
Goods variable allocation	62% of constant-price goods revenue.	LOW
Service variable allocation	About CAD 302 per CAD 1,000 service revenue.	LOW residual calibration
Paid fixed factory base	About CAD 49 million annualized, including production staff and historical factory depreciation.	Actual-calibrated; forward LOW
Selling	Variable selling plus about CAD 24 million annual fixed cost.	LOW allocation
Administration / research	About CAD 34 million / CAD 3 million annual base, growing 4%.	Source-calibrated; future LOW
New PPA	Full incremental COGS and selling charges retained.	Provisional source allocation

Higher revenue require productive labor. Above the CAD 317 million historical annual revenue reference, the model pays 65% of the historical production-labor / revenue intensity on excess constant-price revenue, while retaining fixed staff. The threshold is a revenue proxy, not a verified factory nameplate. The remaining productivity and output headroom are LOW assumptions.

Factory fixed costs grow 3% annually. Variable input costs rise CAD 25 per CAD 1,000 of prior inputs each year; ordinary price rises 2%. The frozen exchange convention is approximately CAD 161 per EUR 100 using the source H1 rate, rather than a current spot or forward-currency forecast. Zero and fully proportional incremental-labor tests remain diagnostics.

Calendar year	Expected AEG revenue	Variable COGS	Fixed factory	Added productive labor	New PPA COGS	Selling + G&A + research + PPA
2027	343	168	50	2	10	113
2028	386	187	52	6	10	121
2029	435	209	53	11	10	129
2030	491	234	55	16	10	139

Two complete AEG recovery outcomes

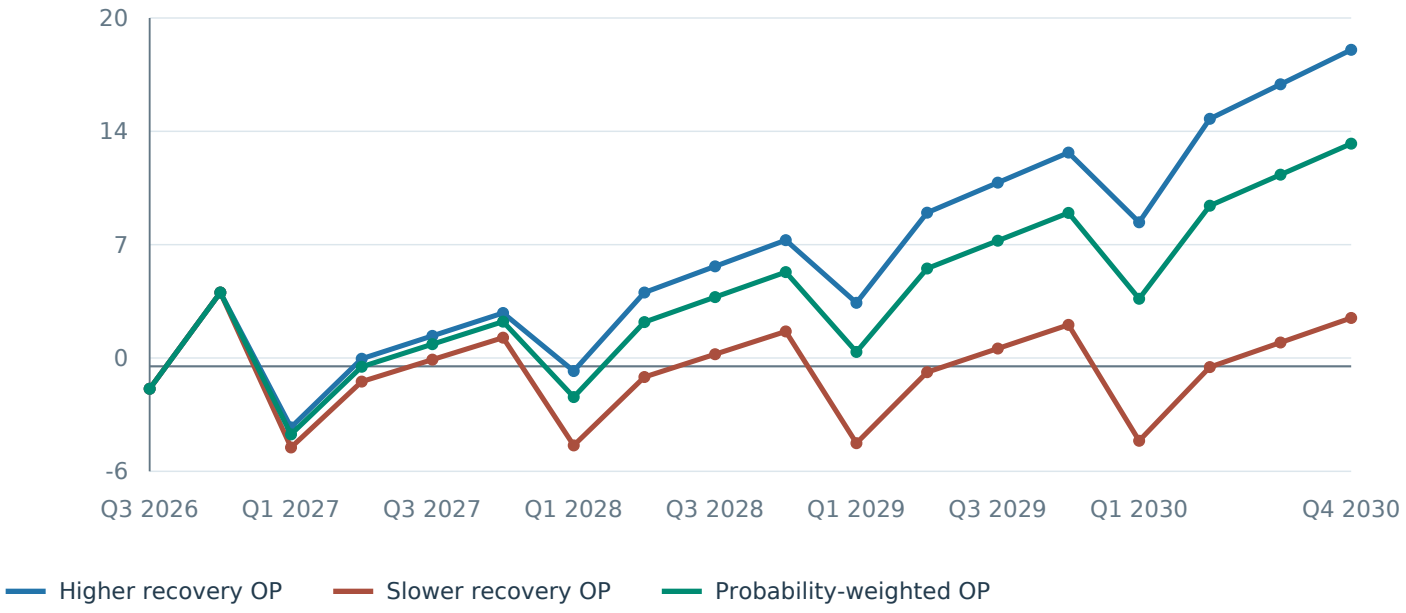
Calendar year	Higher revenue	Slower revenue	Higher probability	Slower probability	Service mix
2027	350	331	65%	35%	42%
2028	410	341	65%	35%	44%
2029	480	351	65%	35%	46%
2030	560	362	65%	35%	48%

The higher path requires recovery, execution and cross-selling. The slower path grows 3% nominally from the roughly EUR 200 million annual sales scale discussed in July. Each outcome pays its production, added labor, support and acquisition-accounting costs. The 65% / 35% weights are analytical judgments; neither endpoint is issuer guidance.

A May-approved AEG outlook aimed for about 40% normalized EBITDA growth and higher fixed costs in 2026. It predates the weak first-half actuals and July discussion of Middle East effects and back-end-loaded sales. The later filing date does not turn the May aspiration into fresh September guidance. Service mix changes sit inside the same revenue.

AEG operating profit after real costs and new amortization

CAD million operating profit



Both conditional outcomes retain labor, factory costs, selling, administration, research and incremental PPA. Weights are analytical judgments, not company probabilities.

Quarter	Higher revenue	Higher OP	Slower revenue	Slower OP	Expected OP
Q3 2026	80	-1	80	-1	-1
Q4 2026	97	4	97	4	4
Q1 2027	77	-4	73	-5	-4
Q2 2027	88	0	83	-1	0
Q3 2027	91	2	86	0	1
Q4 2027	94	3	89	2	3
Q1 2028	90	0	75	-5	-2
Q2 2028	102	4	85	-1	3
Q3 2028	107	6	89	1	4
Q4 2028	111	7	92	2	5
Q1 2029	106	4	77	-4	1
Q2 2029	120	9	88	0	6
Q3 2029	125	11	91	1	7
Q4 2029	130	12	95	2	9
Q1 2030	123	8	80	-4	4

Quarter	Higher revenue	Higher OP	Slower revenue	Slower OP	Expected OP
Q2 2030	140	14	90	0	9
Q3 2030	146	16	94	1	11
Q4 2030	151	18	98	3	13

Architecture opportunities and demand overlap

Forward signal	Assessed probability / conditional scope	Overlap and residual
AEG 800V / 1,500V and North American qualification	35%; CAD 30 million conditional 2030 revenue cohort.	100% inside the higher AEG endpoint; zero independent revenue / OP addition.
SpaceX / broader AI power demand	45%; CAD 50 million illustrative custom revenue cohort.	100% inside existing-site and Fort Worth custom demand; zero independent addition.
Finite urgent custom orders	60%; 4% premium on the eligible 25% cohort.	Additional terms only above ordinary reference pricing; net support and selling cost paid.

The source supports product capability and the need for electrical equipment. It does not disclose a named NVIDIA or SpaceX win for Hammond. The zero independent increments above follow economic-wallet and capacity overlap: those bounded possibilities are already represented inside modeled demand. They are assessed before official confirmation, with company-specific costs and timing rather than being rejected solely for lack of an announcement.

Compute sites also buy turbines, grid connections, switchgear, networking and other equipment. Those are different paid layers. A large total capital plan does not supply Hammond revenue without qualified product content, supplier share, price, production and recognition timing.

Cash-settled awards and the retained expense reserve

Award evidence	CAD million / units	Interpretation
Opening 2026 DSU / LTIP liabilities	23 / 11	Previously accrued cash obligations
June DSU / LTIP liabilities	32 / 7	About CAD 39 million combined liability
H1 reported award expense	30	Includes service, performance and price remeasurement effects
Q2 reported award expense	24	Price-sensitive; not an annual service-cost guide
June remaining DSUs	99,038 units	Immediately vested cash-settled exposure
June issued LTIP / vested-payment units	43,975 / 19,788 units	Different scopes; not all eventual units are current expense
2027 total expense allowance	CAD 20 million, growing 8% annually	LOW service / performance / mark-to-market reserve

The issuer does not disclose a dollar split between ongoing service cost and fair-value remeasurement. A static service / issuance proxy gives roughly CAD 5-8 million annually under its stated unit, price and vesting assumptions. It is a sensitivity, not a measured recurring charge. The retained CAD 20 million allowance is a deliberately conservative total reserve; it is not issuer guidance.

An unchanged recognized award pool has roughly CAD 6 million of price-sensitive value per CAD 50 share-price move. Future expense also depends on grants, performance, vesting, settlement timing and the plan valuation rules. No unreported-quarter gain is booked from a later market price. Cash settlement discharges accrued liabilities; it does not create an extra ordinary-share block or a second operating charge. Q2 award notes; Annual plan policy.

Dividends, debt and the cash required to grow

Hammond Power Solutions Increases Dividend to $0.29 Per Share

GUELPH, Ontario, Sept. 01, 2026 -- (TSX: HPS.A) The Board of Directors of Hammond Power Solutions Inc. (“HPS”) declared a quarterly cash dividend of twenty-nine cents ($0.29) per Class A Subordinate Voting Share of HPS and a quarterly cash dividend of twenty-nine cents ($0.29) per Class B Common Share of HPS, representing an increase of $0.015 or 5.5%. The dividend will be payable on September 24, 2026 to shareholders of record at the close of business on September 17, 2026. The ex-dividend date is September 17, 2026.

Important Income-Tax Information for Canadian Resident Shareholders

HPS designates the entire amount of this taxable dividend to be an “eligible dividend” for purposes of the Income Tax Act (Canada), as amended from time to time. This notice meets the requirements of the Income Tax Act (Canada). Please contact your tax advisor if you have any questions with regard to the designation of the eligible dividend.

Caution Regarding Forward-Looking Information

This press release contains forward-looking statements, which are not guarantees or assurances of future performance. Because forward-looking statements are related to the future, they are subject to inherent uncertainties, risks and changes in circumstances that may differ materially from those contemplated by the forward-looking statements. Forward-looking statements can generally be identified, but not limited to, the use of words such as “may”, “will”, “could”, “should”, “would”, “likely”, “expect”, “intend”, “estimate”, “anticipate”, “believe”, “plan”, “objective” and “continue” and words and expressions of similar import. Although HPS believes that the expectations reflected in such forward-looking statements are reasonable, such statements involve risks and uncertainties, and undue reliance should not be placed on such statements. The declaration, timing, amount and payment of any future dividends remains at the discretion of HPS’ Board of Directors. HPS undertakes no obligation to publicly update any forward-looking statement, except as required by applicable securities laws.

ABOUT HAMMOND POWER SOLUTIONS INC.

Hammond Power Solutions Inc. (“HPS” or the “Company”) enables electrification through its broad range of dry-type transformers, power quality products and related magnetic and power conversion systems. HPS’ standard and custom-designed products are essential and ubiquitous in electrical distribution networks through an extensive range of end-user applications. The Company has manufacturing plants in North America, Europe and Asia and sells its products around the globe. HPS shares are listed on the Toronto Stock Exchange and trade under the symbol HPS.A.

Hammond Power Solutions – Energizing Our World

For further information, please contact:

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1 September 2026 issuer dividend declaration. Both classes receive 29 Canadian cents per share, record / ex-date 17 September and payment 24 September. The source is scanned; the original page was visually read. Source: original issuer source, PDF page 1. Original labels and image credits are preserved.

Cash / financing item	Rounded amount	Scope
June legacy cash	CAD 34 million	Actual before acquisition
Illustrative combined pro forma cash	CAD 58 million	Starting cash proxy; not October actual
Current dividend at unchanged shares	CAD 3,452,428 quarterly; about CAD 14 million annualized	Unchanged future payout is a LOW assumption
Acquisition equity cash consideration	CAD 323 million	Distinct from assumed / repaid debt and announced transaction scope
New facility limits	USD 300 million term / USD 150 million revolver	Limits are not a confirmed full draw or useful undrawn availability
Facility maturity	2030	Refinancing risk remains
Annual incremental finance charge	CAD 29 million	Includes noncash fee amortization; below OP

The prior paid quarter used the lower dividend rate and reported about CAD 3 million cash dividends; first-half cash dividends were about CAD 7 million. The latest declaration is used for the forward cash proxy. Future declarations remain at board discretion. Dividend original; Q2 cash / dividends.

The acquisition report does not provide a verified mandatory principal schedule or complete new covenant definitions. Historical AEG RCF leverage and debt-service tests belong to a different facility context and cannot establish current HPS compliance. The combined current debt / lease classification contains obligations, but is not a complete contractual amortization schedule.

Cash forecast assumptions and the funding boundary

Illustrative cash bridge input	Rule / amount	Qualification
Opening cash	CAD 58 million pro forma	Illustrative acquisition-date scope
Working capital	30% of an increase in annualized quarterly sales	LOW; no cash release credited on quarter-to-quarter decline
Ordinary maintenance / growth capital	CAD 35 million annual base, rising 3%	LOW; Fort Worth equipment is separate
Cash tax	27% of positive OP less finance proxy	LOW
Financing cost	Entire current interest / fee-amortization proxy treated as cash	Conservative; includes noncash fee amortization
Awards	Expense added back and equal baseline payments deducted	No double cash charge; faster old-liability settlement stressed separately
Dividends	Latest both-class rate held constant	LOW continuation assumption
Debt / lease principal	Not included pending verified schedules	Available cash is therefore overstated versus a complete financing plan

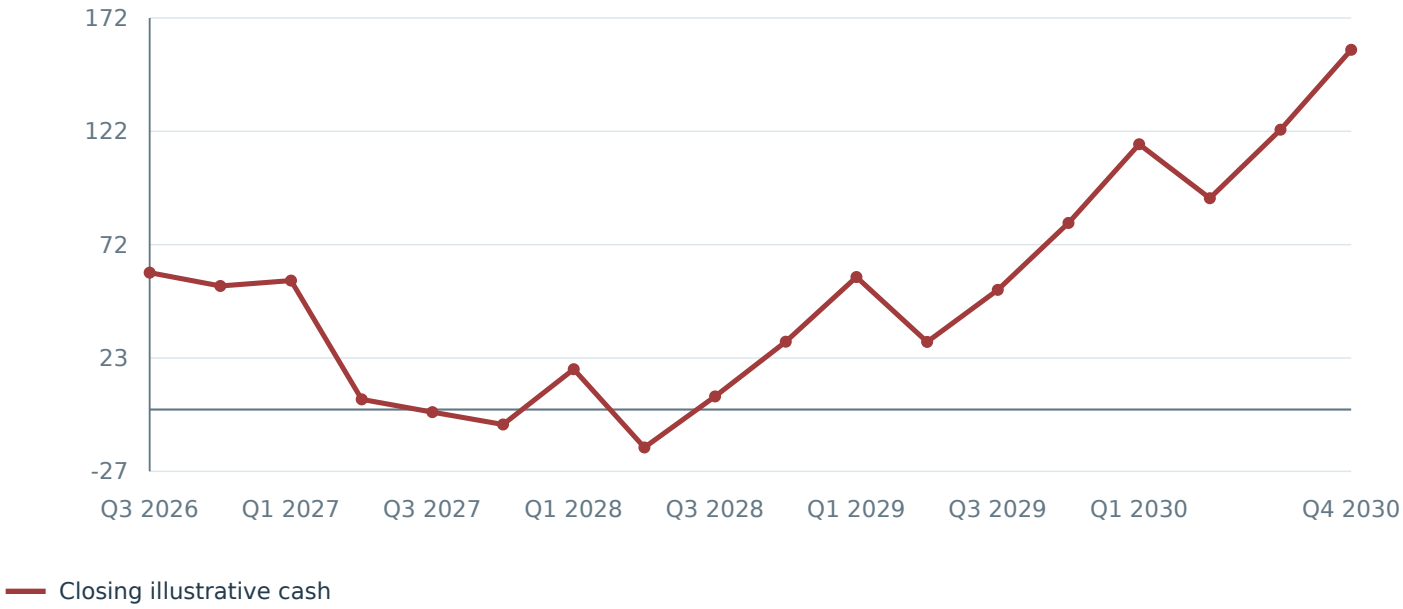
The cash series is an operating-capital illustration before unknown debt and lease principal. It is neither actual forecast liquidity nor legal covenant headroom. A positive later balance does not prove access to credit, compliance, capex affordability or freedom to distribute that cash.

The modeled minimum is in Q2 2028, about negative CAD 17 million before principal. It indicates additional funding or operating changes may be needed. Integration, commodity, collection or acceptance shocks can require more.

Signed cash balances and cash-only stresses

Illustrative cash before debt and lease principal

CAD million; negative values are cash shortfalls



LOW operating-cash illustration from acquisition-date pro forma. Debt / lease principal and verified covenant limits are absent. The negative trough is retained; this chart does not establish financed liquidity.

Quarter	Net cash movement	Closing cash before principal
Q3 2026	2	60
Q4 2026	-6	54
Q1 2027	2	57
Q2 2027	-52	4
Q3 2027	-6	-1
Q4 2027	-5	-7
Q1 2028	24	18
Q2 2028	-34	-17
Q3 2028	22	6
Q4 2028	24	30
Q1 2029	28	58
Q2 2029	-29	30

Quarter	Net cash movement	Closing cash before principal
Q3 2029	23	53
Q4 2029	29	82
Q1 2030	35	117
Q2 2030	-24	93
Q3 2030	30	123
Q4 2030	35	158

Additional cash-use stress	Added need	Minimum cash before principal	Minimum outside funding proxy
Base illustration	0	-17	17
Integration / working-capital cash use	10	-27	27
Integration / working-capital cash use	25	-42	42
Excess existing award settlement	39	-56	56
Integration / working-capital cash use	50	-67	67

The existing-award excess-settlement test adds about CAD 39 million cash use beyond baseline modeled payments and reaches about negative CAD 56 million. It has no additional OP charge. The CAD 10 million, CAD 25 million and CAD 50 million tests are cash-use stresses, not fresh earnings forecasts or known required funding amounts.

All eighteen quarters: cash components

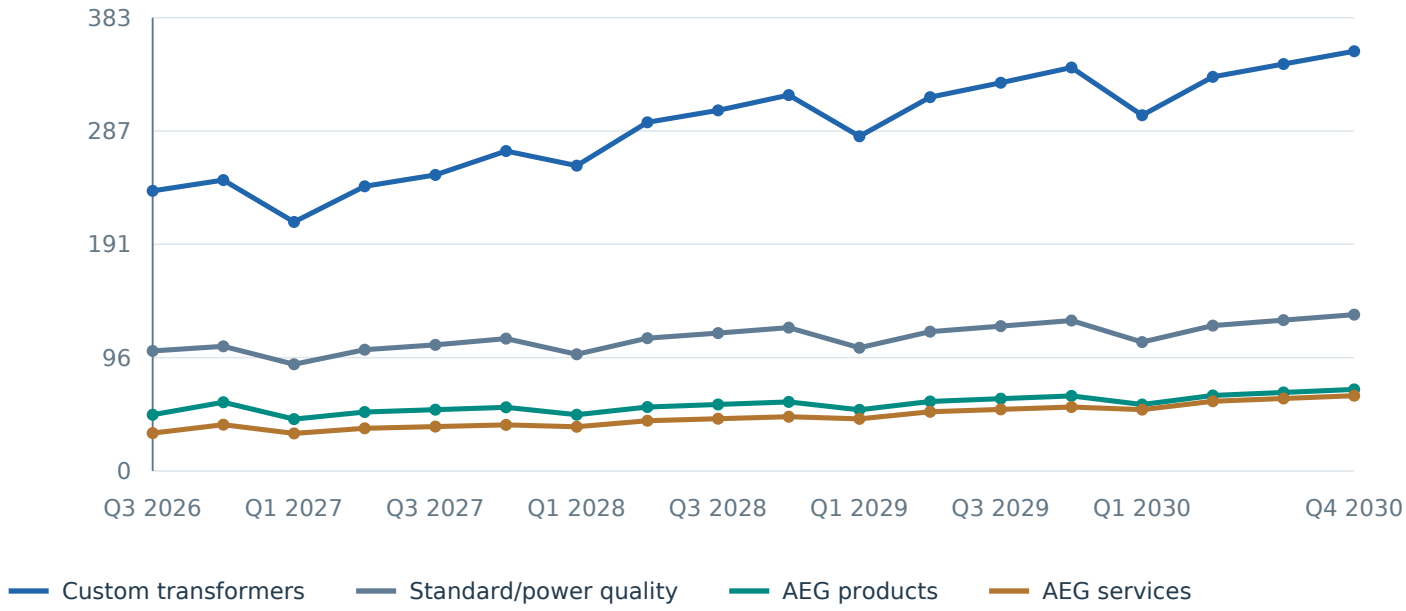
Quarter	OP	D&A addback	Finance proxy	Tax	WC use	Ordinary capex	Site capex	Dividend
Q3 2026	46	12	9	10	24	9	0	3
Q4 2026	55	12	9	12	37	9	2	3
Q1 2027	26	12	9	5	0	9	10	3
Q2 2027	44	12	9	10	63	9	14	3
Q3 2027	49	12	9	11	21	9	14	3
Q4 2027	56	14	9	13	35	9	7	3
Q1 2028	40	15	9	8	0	9	0	3
Q2 2028	61	15	9	14	74	9	0	3
Q3 2028	67	15	9	16	22	9	0	3
Q4 2028	74	15	9	18	26	9	0	3
Q1 2029	48	15	9	11	0	10	2	3
Q2 2029	68	15	9	16	72	10	2	3
Q3 2029	75	15	9	18	25	10	2	3
Q4 2029	82	15	9	20	26	10	0	3
Q1 2030	53	15	9	12	0	10	0	3
Q2 2030	74	15	9	18	73	10	0	3
Q3 2030	81	15	9	19	24	10	0	3
Q4 2030	88	15	9	21	24	10	0	3

Award expense is separately added back and an equal baseline payment deducted in every quarter; the two offset in this base cash presentation. The excess-settlement stress handles the possibility that earlier obligations become payable faster. The table contains CAD million and excludes unverified debt / lease principal. The funding limitation is integral to the conditional operating case.

Four product revenue across all eighteen quarters

Model revenue by product pool

CAD million per quarter



All observations are model estimates. AEG enters after acquisition; product allocations are LOW and are constrained by group costs, accepted factory output and probabilities.

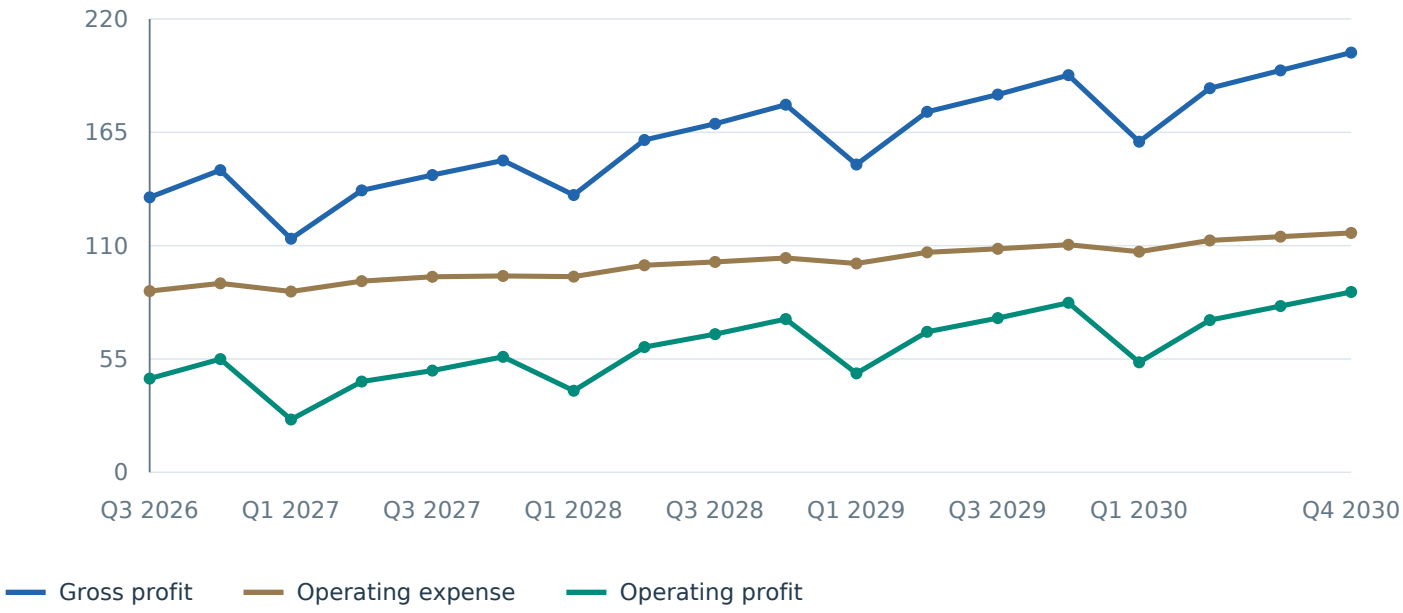
Quarter	Custom	Standard / PQ	AEG products	AEG services	Total
Q3 2026	237	101	48	32	418
Q4 2026	246	105	58	39	448
Q1 2027	210	90	44	32	376
Q2 2027	240	102	50	36	429
Q3 2027	250	107	52	38	446
Q4 2027	270	112	54	39	475
Q1 2028	258	99	48	37	441
Q2 2028	294	112	54	42	503
Q3 2028	305	116	56	44	521
Q4 2028	317	121	58	46	543
Q1 2029	283	104	52	44	482

Quarter	Custom	Standard / PQ	AEG products	AEG services	Total
Q2 2029	316	118	59	50	542
Q3 2029	328	122	61	52	563
Q4 2029	341	127	63	54	585
Q1 2030	300	109	56	52	517
Q2 2030	333	123	64	59	578
Q3 2030	344	127	66	61	599
Q4 2030	355	132	69	64	619

Gross profit, operating cost and retained profit

Operating earnings after manufacturing and central costs

CAD million per quarter



All observations are model estimates, including Q3 2026. Manufacturing includes paid factory costs and PPA; operating expense includes selling, administration, cash awards and acquired support.

Quarter	Gross profit	Operating expense	Operating profit	Gross margin	OP margin
Q3 2026	133	88	46	32%	11%

Quarter	Gross profit	Operating expense	Operating profit	Gross margin	OP margin
Q4 2026	147	92	55	33%	12%
Q1 2027	113	88	26	30%	7%
Q2 2027	137	93	44	32%	10%
Q3 2027	144	95	49	32%	11%
Q4 2027	151	95	56	32%	12%
Q1 2028	135	95	40	30%	9%
Q2 2028	161	100	61	32%	12%
Q3 2028	169	102	67	32%	13%
Q4 2028	178	104	74	33%	14%
Q1 2029	149	101	48	31%	10%
Q2 2029	175	107	68	32%	13%
Q3 2029	183	108	75	33%	13%
Q4 2029	193	110	82	33%	14%
Q1 2030	160	107	53	31%	10%
Q2 2030	186	113	74	32%	13%
Q3 2030	195	114	81	33%	13%
Q4 2030	204	116	88	33%	14%

Revenue grows to about CAD 2,313 million in 2030, with about CAD 295 million OP. These results require the specified output, mix and cost path; they remain conditional on financing. There is no independent additive revenue pool for every AI spending headline.

All eighteen quarters: total operating forecast

Calendar quarter	Revenue	COGS	Gross profit	Operating expense	OP	OP margin
Q3 2026	418	284	133	88	46	11%
Q4 2026	448	302	147	92	55	12%
Q1 2027	376	263	113	88	26	7%
Q2 2027	429	292	137	93	44	10%
Q3 2027	446	302	144	95	49	11%
Q4 2027	475	323	151	95	56	12%
Q1 2028	441	307	135	95	40	9%
Q2 2028	503	342	161	100	61	12%
Q3 2028	521	352	169	102	67	13%
Q4 2028	543	364	178	104	74	14%
Q1 2029	482	333	149	101	48	10%
Q2 2029	542	367	175	107	68	13%
Q3 2029	563	380	183	108	75	13%
Q4 2029	585	393	193	110	82	14%
Q1 2030	517	357	160	107	53	10%
Q2 2030	578	392	186	113	74	13%
Q3 2030	599	404	195	114	81	13%
Q4 2030	619	415	204	116	88	14%

The model uses calendar quarters from Q3 2026 through Q4 2030. All displayed forward observations are estimates, not company-reported actuals. Operating profit includes cash-award reserves and full acquisition-accounting charges under the current valuation convention.

Product cost detail: Custom transformers

This is an analytical allocation calibrated to reported group economics. It is not a disclosed segment gross-margin forecast. CAD million; independently rounded rows may differ.

Quarter	Revenue	Variable COGS	Factory labor / fixed / PPA	Total COGS	Gross profit	Gross margin
Q3 2026	237	130	23	153	83	35%
Q4 2026	246	135	23	158	87	36%
Q1 2027	210	116	24	140	70	33%
Q2 2027	240	132	24	156	84	35%
Q3 2027	250	138	24	161	89	35%
Q4 2027	270	149	29	178	93	34%
Q1 2028	258	142	30	172	86	33%
Q2 2028	294	163	30	192	102	35%
Q3 2028	305	168	30	198	107	35%
Q4 2028	317	175	30	205	112	35%
Q1 2029	283	157	30	188	95	34%
Q2 2029	316	176	30	206	110	35%
Q3 2029	328	183	31	214	114	35%
Q4 2029	341	190	31	221	120	35%
Q1 2030	300	168	32	200	100	33%
Q2 2030	333	187	32	219	114	34%
Q3 2030	344	193	32	225	119	35%
Q4 2030	355	199	32	231	124	35%

For acquired products and services, added productive labor is in the factory labor / fixed / PPA column, alongside paid fixed production staff, other factory costs and the allocated acquisition step-up. The variable COGS column excludes that added labor. For transformers, the columns include the corresponding expected Fort Worth production and fixed costs.

Product cost detail: Standard/power quality

This is an analytical allocation calibrated to reported group economics. It is not a disclosed segment gross-margin forecast. CAD million; independently rounded rows may differ.

Quarter	Revenue	Variable COGS	Factory labor / fixed / PPA	Total COGS	Gross profit	Gross margin
Q3 2026	101	67	10	77	25	24%
Q4 2026	105	69	10	79	26	25%
Q1 2027	90	60	10	70	20	22%
Q2 2027	102	68	10	78	24	24%
Q3 2027	107	71	10	81	26	24%
Q4 2027	112	74	11	85	27	24%
Q1 2028	99	66	11	77	22	22%
Q2 2028	112	75	11	86	26	23%
Q3 2028	116	78	11	89	28	24%
Q4 2028	121	81	11	92	29	24%
Q1 2029	104	70	11	81	23	22%
Q2 2029	118	79	11	90	27	23%
Q3 2029	122	82	12	93	29	24%
Q4 2029	127	85	12	97	30	24%
Q1 2030	109	73	12	85	24	22%
Q2 2030	123	83	12	95	28	23%
Q3 2030	127	86	12	98	30	23%
Q4 2030	132	89	12	101	31	24%

For acquired products and services, added productive labor is in the factory labor / fixed / PPA column, alongside paid fixed production staff, other factory costs and the allocated acquisition step-up. The variable COGS column excludes that added labor. For transformers, the columns include the corresponding expected Fort Worth production and fixed costs.

Product cost detail: AEG products

This is an analytical allocation calibrated to reported group economics. It is not a disclosed segment gross-margin forecast. CAD million; independently rounded rows may differ.

Quarter	Revenue	Variable COGS	Factory labor / fixed / PPA	Total COGS	Gross profit	Gross margin
Q3 2026	48	29	9	38	9	20%
Q4 2026	58	36	9	45	13	22%
Q1 2027	44	27	9	36	8	17%
Q2 2027	50	31	9	40	10	20%
Q3 2027	52	32	9	41	10	20%
Q4 2027	54	34	9	43	11	21%
Q1 2028	48	30	9	39	8	18%
Q2 2028	54	34	9	43	11	20%
Q3 2028	56	35	10	45	12	20%
Q4 2028	58	37	10	46	12	21%
Q1 2029	52	33	10	42	9	18%
Q2 2029	59	37	10	47	12	20%
Q3 2029	61	38	10	48	13	21%
Q4 2029	63	40	10	50	13	21%
Q1 2030	56	35	10	46	10	19%
Q2 2030	64	40	11	51	13	20%
Q3 2030	66	42	11	53	14	21%
Q4 2030	69	44	11	54	15	21%

For acquired products and services, added productive labor is in the factory labor / fixed / PPA column, alongside paid fixed production staff, other factory costs and the allocated acquisition step-up. The variable COGS column excludes that added labor. For transformers, the columns include the corresponding expected Fort Worth production and fixed costs.

Product cost detail: AEG services

This is an analytical allocation calibrated to reported group economics. It is not a disclosed segment gross-margin forecast. CAD million; independently rounded rows may differ.

Quarter	Revenue	Variable COGS	Factory labor / fixed / PPA	Total COGS	Gross profit	Gross margin
Q3 2026	32	10	6	16	16	51%
Q4 2026	39	12	6	18	21	53%
Q1 2027	32	10	7	16	16	49%
Q2 2027	36	11	7	17	19	52%
Q3 2027	38	11	7	18	20	52%
Q4 2027	39	12	7	18	21	53%
Q1 2028	37	11	7	19	19	50%
Q2 2028	42	13	7	20	22	52%
Q3 2028	44	13	7	21	23	53%
Q4 2028	46	14	7	21	24	53%
Q1 2029	44	13	8	22	22	50%
Q2 2029	50	15	8	24	26	52%
Q3 2029	52	16	9	24	28	53%
Q4 2029	54	17	9	25	29	53%
Q1 2030	52	16	9	25	26	51%
Q2 2030	59	18	10	28	31	53%
Q3 2030	61	19	10	29	33	53%
Q4 2030	64	20	10	29	34	54%

For acquired products and services, added productive labor is in the factory labor / fixed / PPA column, alongside paid fixed production staff, other factory costs and the allocated acquisition step-up. The variable COGS column excludes that added labor. For transformers, the columns include the corresponding expected Fort Worth production and fixed costs.

Operating expenses remain explicit

Quarter	Legacy selling	Legacy G&A	Cash awards	Site preop / cancellation	Site support	AEG operating costs	Total opex
Q3 2026	37	19	5	0	0	27	88
Q4 2026	38	19	5	1	0	29	92
Q1 2027	35	20	5	1	0	27	88
Q2 2027	38	20	5	2	0	28	93
Q3 2027	39	20	5	2	0	29	95
Q4 2027	41	20	5	0	0	29	95
Q1 2028	39	21	5	0	1	29	95
Q2 2028	43	21	5	0	1	30	100
Q3 2028	44	21	5	0	1	31	102
Q4 2028	46	21	5	0	1	31	104
Q1 2029	42	21	6	0	1	31	101
Q2 2029	46	21	6	0	1	32	107
Q3 2029	47	21	6	0	1	33	108
Q4 2029	48	21	6	0	1	33	110
Q1 2030	44	22	6	0	1	33	107
Q2 2030	48	22	6	0	1	35	113
Q3 2030	49	22	6	0	1	35	114
Q4 2030	50	22	6	0	1	36	116

AEG operating costs comprise selling, administration, research and customer-relationship amortization; manufacturing is already in product gross profit. Site support is distinct from new factory fixed production costs. The model does not remove costs merely because a revenue outcome is slower.

Annual cross-checks and retained operating contribution

Calendar year	Revenue	Gross profit	Operating expense	Operating profit	OP margin
2027	1,725	546	371	175	10%
2028	2,009	643	402	242	12%
2029	2,173	700	427	273	13%
2030	2,313	746	450	295	13%

Calendar year	Custom R / GP	Standard R / GP	AEG product R / GP	AEG service R / GP
2027	971 / 336	411 / 97	199 / 39	144 / 74
2028	1,174 / 407	448 / 105	216 / 43	170 / 88
2029	1,267 / 439	471 / 110	235 / 47	200 / 105
2030	1,332 / 457	491 / 113	255 / 52	236 / 124

Calendar year	New-site incremental OP	Urgency premium net OP	AEG total OP
2027	-7	4	0
2028	41	5	10
2029	59	3	23
2030	67	0	37

The contribution rows are components of the same company operating forecast, not extra profits to add to the total again. Acquisition amortization, site readiness and productive labor remain paid. The annual totals reconcile to the eighteen-quarter forecast for complete calendar years.

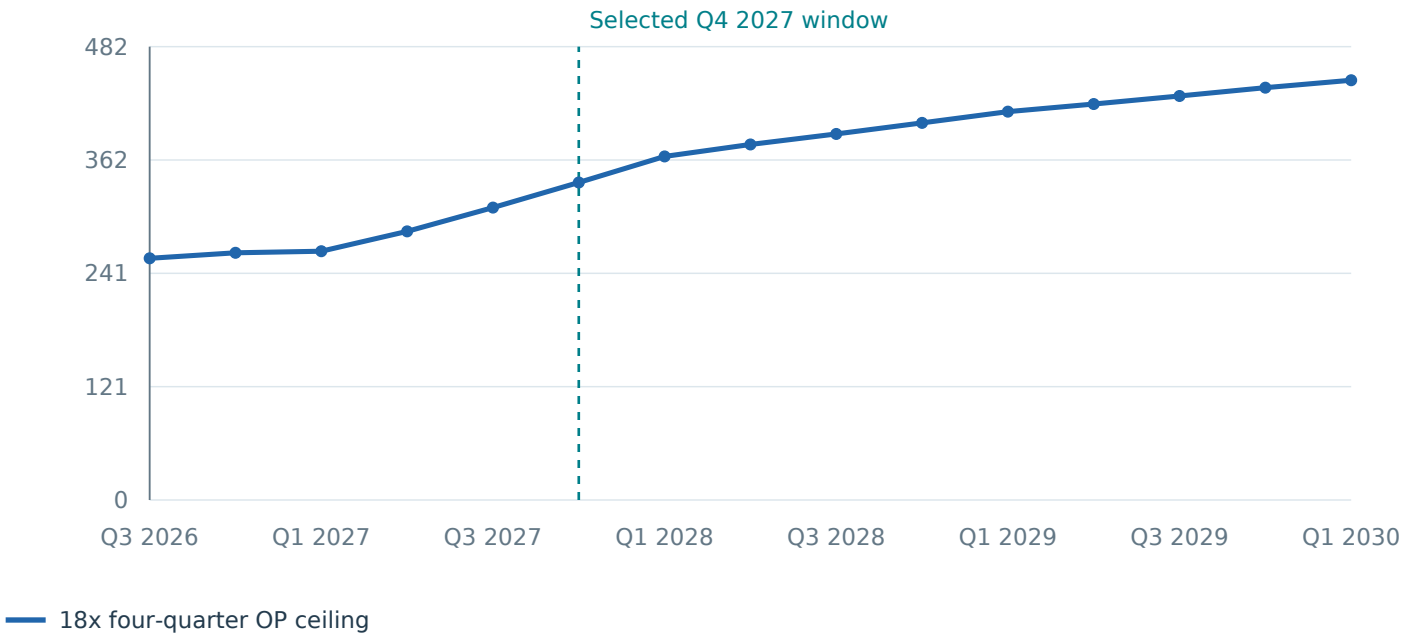
Valuation: explicit four-quarter operating-profit windows

The operating ceiling is 18 times the selected quarter plus the next three quarters of OP, divided by 11,904,924 economic shares across both classes. Operating amounts in the model are CAD million, so the whole-share formula multiplies those amounts by 1,000,000 before division. There is no added valuation haircut, separate debt subtraction, currency factor or analyst target.

Q4 2027 is the selected valuation quarter for reviews dated October through December 2026. Its earnings window is Q4 2027 through Q3 2028. A future horizon roll changes the window and is separate from a change in operating assumptions.

All fifteen model ceilings by valuation quarter

CAD per economic share



Conditional operating-profit ceilings using the same 18x convention and both-class shares. Financing is unresolved. No market-price return or portfolio ranking is shown.

Valuation quarter	Four-quarter OP	OP x	Economic shares	CAD ceiling
Q3 2026	170	18	11,904,924	257
Q4 2026	174	18	11,904,924	263
Q1 2027	175	18	11,904,924	265
Q2 2027	189	18	11,904,924	286
Q3 2027	206	18	11,904,924	311
Q4 2027	224	18	11,904,924	338

Valuation quarter	Four-quarter OP	OP x	Economic shares	CAD ceiling
Q1 2028	242	18	11,904,924	366
Q2 2028	250	18	11,904,924	378
Q3 2028	258	18	11,904,924	390
Q4 2028	265	18	11,904,924	401
Q1 2029	273	18	11,904,924	413
Q2 2029	279	18	11,904,924	421
Q3 2029	284	18	11,904,924	430
Q4 2029	290	18	11,904,924	439
Q1 2030	295	18	11,904,924	447

The selected current window contains about CAD 224 million OP and produces about CAD 338 per share. The complete constituent calculations follow. Exact model numbers control; reader values are rounded. The operating ceiling remains conditional on financing access and the specified execution path.

Valuation derivation: Q3 2026

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q3 2026	418	133	88	46
Q4 2026	448	147	92	55
Q1 2027	376	113	88	26
Q2 2027	429	137	93	44

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
170	1,000,000	18	11,904,924	257

Valuation derivation: Q4 2026

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q4 2026	448	147	92	55
Q1 2027	376	113	88	26
Q2 2027	429	137	93	44
Q3 2027	446	144	95	49

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
174	1,000,000	18	11,904,924	263

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Valuation derivation: Q1 2027

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q1 2027	376	113	88	26
Q2 2027	429	137	93	44
Q3 2027	446	144	95	49
Q4 2027	475	151	95	56

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
175	1,000,000	18	11,904,924	265

Valuation derivation: Q2 2027

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q2 2027	429	137	93	44
Q3 2027	446	144	95	49
Q4 2027	475	151	95	56
Q1 2028	441	135	95	40

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
189	1,000,000	18	11,904,924	286

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Valuation derivation: Q3 2027

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q3 2027	446	144	95	49
Q4 2027	475	151	95	56
Q1 2028	441	135	95	40
Q2 2028	503	161	100	61

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
206	1,000,000	18	11,904,924	311

Selected valuation: Q4 2027

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q4 2027	475	151	95	56
Q1 2028	441	135	95	40
Q2 2028	503	161	100	61
Q3 2028	521	169	102	67

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
224	1,000,000	18	11,904,924	338

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Valuation derivation: Q1 2028

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q1 2028	441	135	95	40
Q2 2028	503	161	100	61
Q3 2028	521	169	102	67
Q4 2028	543	178	104	74

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
242	1,000,000	18	11,904,924	366

Valuation derivation: Q2 2028

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q2 2028	503	161	100	61
Q3 2028	521	169	102	67
Q4 2028	543	178	104	74
Q1 2029	482	149	101	48

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
250	1,000,000	18	11,904,924	378

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Valuation derivation: Q3 2028

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q3 2028	521	169	102	67
Q4 2028	543	178	104	74
Q1 2029	482	149	101	48
Q2 2029	542	175	107	68

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
258	1,000,000	18	11,904,924	390

Valuation derivation: Q4 2028

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q4 2028	543	178	104	74
Q1 2029	482	149	101	48
Q2 2029	542	175	107	68
Q3 2029	563	183	108	75

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
265	1,000,000	18	11,904,924	401

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Valuation derivation: Q1 2029

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q1 2029	482	149	101	48
Q2 2029	542	175	107	68
Q3 2029	563	183	108	75
Q4 2029	585	193	110	82

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
273	1,000,000	18	11,904,924	413

Valuation derivation: Q2 2029

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q2 2029	542	175	107	68
Q3 2029	563	183	108	75
Q4 2029	585	193	110	82
Q1 2030	517	160	107	53

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
279	1,000,000	18	11,904,924	421

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Valuation derivation: Q3 2029

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q3 2029	563	183	108	75
Q4 2029	585	193	110	82
Q1 2030	517	160	107	53
Q2 2030	578	186	113	74

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
284	1,000,000	18	11,904,924	430

Valuation derivation: Q4 2029

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q4 2029	585	193	110	82
Q1 2030	517	160	107	53
Q2 2030	578	186	113	74
Q3 2030	599	195	114	81

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
290	1,000,000	18	11,904,924	439

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Valuation derivation: Q1 2030

Constituent earnings quarter	Revenue	Gross profit	Operating expense	OP
Q1 2030	517	160	107	53
Q2 2030	578	186	113	74
Q3 2030	599	195	114	81
Q4 2030	619	204	116	88

Four-quarter OP	CAD unit scale	OP x	Economic shares	CAD / share
295	1,000,000	18	11,904,924	447

Probability ledger, recognition and overlap

Signal	Probability / conditional outcome	Costs and recognition	Overlap / independent increment
Fort Worth first phase	75% timely, 20% four-quarter delay, 5% cancellation.	Accepted revenue and all factory / readiness / selling / support costs follow the state.	Physical capacity counted once with existing sites.
Later Fort Worth phase	20% unconditional subset; extra CAD 150 million capacity.	Further capital, staff and commissioning paid; LOW assumed later timing.	Within CAD 400 million total site, not an extra CAD 400 million.
Urgent new custom orders	60%; 4% premium on eligible 25% custom cohort.	Expedite / manufacturing support plus selling; starts Q2 2027, expires 2030.	Existing fixed-price orders and realized ordinary pricing excluded.
AEG recovery / cross-sell	65% higher / 35% slower revenue.	Materials, paid staff, added labor, selling, G&A, research and PPA.	Services and cross-sell inside the same total endpoint.
Architecture qualification	35%; bounded CAD 30 million 2030 cohort.	Qualification / delivery costs inside AEG path.	100% overlap with higher AEG revenue; zero independent addition.
SpaceX / AI demand	45%; illustrative CAD 50 million custom cohort.	Paid production and capacity remain necessary.	100% inside custom / site demand; zero independent addition.

Probabilities are analytical estimates, not source-authored certainty. A credible forward signal can affect the active model before official confirmation when scope, net cost, recognition and overlap can be bounded. The controlled coupled stress below addresses correlated demand, pricing and cost deterioration rather than adding the same macro constraint repeatedly.

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All twenty-three controlled diagnostics

Each diagnostic changes the named input while retaining the specified other assumptions. These are tests, not probability endpoints to average into another target. The zero added-labor case is an arithmetic control rather than a claim that employees can support unlimited growth at no extra cost.

Controlled case	Q3 2026 window	Q4 2027 window	Q1 2030 window
Current modeled case	257	338	447
100% timely first phase only	257	361	440
100% timely first and later phases	257	361	497
100% four-quarter acceptance delay; fixed costs paid	257	261	440

Controlled case	Q3 2026 window	Q4 2027 window	Q1 2030 window
No factory; cancellation costs paid	255	296	345
No urgency premium	255	331	447
Urgency premium certain on eligible cohort	258	343	447
AEG entirely slower outcome	255	323	390
AEG entirely higher outcome	259	346	477
AEG currency proxy 10% lower	255	334	438
AEG currency proxy 10% higher	260	342	455
Legacy units 10% lower; fixed cost paid	189	266	371
Legacy price 5% lower; same physical cost	164	239	339
Variable input inflation 5%	240	272	258
New-site fixed cost 50% higher	257	321	427
Annual award allowance CAD 8 million	275	357	470
Annual award allowance CAD 30 million	243	322	428
Additional annual central cost CAD 10 million	242	323	432
Provisional acquisition amortization 20% higher	252	333	441
AEG zero added productive labor (control)	261	345	471
AEG fully proportional added labor	255	334	434
Later-phase precommissioning cost doubled	257	338	447
Coupled demand, cost and acceptance stress	73	-8	9

Results are CAD per share under the same 18x OP convention. The coupled demand / cost stress produces a negative OP-based formula in the selected window. That raw loss-window diagnostic does not supply a meaningful positive equity target or predict a negative stock price. Funding costs and access remain separate conditional constraints.

Doubling later-phase precommissioning costs adds CAD 270,000 of probability-weighted operating cost across Q1 and Q2 2029: 20% of the sum of CAD 450,000 and CAD 900,000. Valuation windows containing those quarters are affected. The first, selected Q4 2027 and Q1 2030 diagnostic anchors exclude those costs, so their unchanged displays do not imply zero impact in every intervening window.

Analytical score and the protected Excel Base

Category	Points / maximum	Current assessment
Core thesis	17 / 20	Engineering, customization and channels support differentiation; qualified alternatives and cancelable orders constrain capture.
Cycle stage	7 / 10	Strong output and demand; weaker Canada and low AEG first-half retained profit qualify the inflection.
TAM expansion	8 / 10	Dated Fort Worth plan plus broader service / conversion opportunities; accepted output and funding remain conditional.
Catalysts	4 / 5	First full AEG quarter, provisional accounting update and factory progress.
Macro	8 / 10	Power and electrification spending; project timing, tariffs and inputs affect conversion.
Alpha	3 / 5	Separate paid capacity, overhead, cash awards and retained operating earnings.
Risks	6-point deduction	Funding / working capital / refinancing 2; AEG integration 1; factory acceptance 1; award price exposure 1; materials / tariffs / Canada 1.

Positive categories total 47. The 6-point risk deduction leaves 41 out of 60, or an analytical score of 68 out of 100 after whole-number display. The protected Excel Base remains 73. The analytical score is separate from the owner-controlled Excel Base and from operating-event probabilities.

Improvement requires evidence that accepted output and profitable services convert into cash with manageable financing. Deterioration follows qualification delays, costs above the modeled fixed / variable bridge, weak collections, competitive prices or financing that impairs the economic path.

Risks, disconfirming evidence and next triggers

Risk / assumption	Disconfirming evidence	Next evidence
Qualified transformer output	Hiring, testing or customer acceptance lags the factory schedule.	Fitout, equipment commissioning, pass rates and accepted shipments.
Pricing power	Competitive agreements prevent urgency premiums or input costs outrun prices.	New-order terms, custom mix and net gross margin.
AEG recovery	Selling, field labor, productive labor or integration costs absorb growth.	29 October first full acquired quarter, segment costs and updated PPA.
Working capital / funding	Receivables, inventory, capex or settlements consume more cash.	Actual cash / undrawn facilities, defined covenant compliance and principal obligations.
Refinancing	Useful financing unavailable as 2030 maturities approach.	Committed terms, amortization and lender restrictions.
Commodity / tariffs	Copper, aluminum, steel or import costs outrun recovery.	Input prices and timing of customer pass-through.
Canada / channels	Competition or weak end-market activity persists.	Canadian project timing, mix and channel demand.
Architecture / competition	New electrical designs require redesign or change vendor content.	Qualifications and paid orders rather than capability announcements.

The operating ceiling is conditional. Signed leases, strong quotations and facility limits cannot by themselves establish accepted sales, retained margin or access to the cash required for growth. Source gaps and the modeled cash shortfall remain part of the current assessment.

Source register and completeness boundaries

Source	Date	Record / scope
H01	30 July 2026	44-page Q2 / H1 accounts and MD&A; substantive financial and risk material reviewed. Latest actual excludes AEG.
H02	5 May 2026	40-page Q1 accounts; financial / capacity / cost / award anchors reviewed.
H03	19 March 2026	100-page annual report retained; targeted manufacturing, depreciation, inventory, revenue and cash-award policies reviewed.
H04	August 2026	Full 23-page issuer presentation; historical mix, TAM scope and dating limitations retained.
H05	17 February 2026	Full 12-page acquisition presentation; historical estimates and mix footnotes distinguished from actuals.
H06	22 September 2026	Full two-page capacity release; signed lease, budget, dates and risk factors.
H07	29 June 2026	Issuer acquisition closing announcement; owned-period timing.
H15	11 September 2026; filed 12 September	Original issuer-authored 112-page acquisition report through a filing mirror. Acquisition/PPA/pro forma, financial statements, relevant cost and credit notes reviewed; no claim of exhaustive legal review.
H19	6 May 2026	Full visible management prepared remarks, analyst Q&A and closing; official audio unverified.
H11	31 July 2026	Full visible management prepared remarks, analyst Q&A and closing; primary accounts override transcript errors.
H21	1 September 2026	Issuer dividend HTML, including rate and payment / record dates.
H22	1 September 2026	Original scanned one-page dividend release, visually read; HTML corroborates.

All original accessible financial PDFs and the original source exhibits are retained. The acquisition report is issuer-authored material retrieved through a filing mirror; direct registry byte identity is not asserted. Management calls are public speech reproductions, with full visible Q&A and closing read, while official audio remains unverified.

Material gaps include actual post-close AEG results, final purchase-accounting lives and amortization fade, Fort Worth lease / staffing / qualification costs, exact new debt and lease principal schedules, covenant definitions, useful undrawn funding and named architecture awards. LOW proxies remain labeled. The latest upcoming results have not been fabricated.

Original graphics retain their own dates, labels and decimals. Their historical market or application content does not create new orders. The report uses whole financial displays while the linked model preserves exact data. Current-state economics are presented without earlier target comparisons or market-price return calculations.